

Vinhomes Joint Stock Company

[previously known as Hanoi Southern City
Development Joint Stock Company]

Interim consolidated financial statements

30 June 2018



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**Building a better
working world**

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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Vinhomes Joint Stock Company

[previously known as Hanoi Southern City Development Joint Stock Company]

GENERAL INFORMATION

THE COMPANY

Vinhomes Joint Stock Company ("the Company"), previously known as Hanoi Southern City Development JSC ("Hanoi Southern JSC"), is a joint stock company established in Vietnam in accordance with the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. In accordance with the 19th amended Enterprise Registration Certificate dated 2 February 2018, Hanoi Southern JSC has changed its business name to Vinhomes Joint Stock Company. The Company subsequently also received amended Enterprise Registration Certificates with the the 23rd amendment dated 12 June 2018 as the latest.

The principal activities of the Company and its subsidiaries are to develop real estate property for sale, to provide leasing of offices, and to render real estate management and related services.

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam.

Vingroup JSC is the Company's parent. Vingroup JSC and its subsidiaries are hereby referred to as the Group.

BOARD OF DIRECTORS

Members of the Board of Directors during the period and at the date of this report are:

Mr. Pham Nhat Vuong	Chairman	Appointed on 21 February 2018
Ms. Mai Huong Noi	Chairwoman	Resigned on 21 February 2018
Ms. Nguyen Dieu Linh	Vice Chairwoman	Appointed on 18 July 2018
Mr. Nguyen Viet Quang	Member	Appointed on 21 February 2018
Ms. Cao Thi Ha An	Member	Appointed on 21 February 2018
Mr. Varun Kapur	Independent member	Appointed on 21 February 2018
Mr. Mueen Uddeen	Independent member	Appointed on 21 February 2018
Mr. Pham Thieu Hoa	Member	Resigned on 21 February 2018
Ms. Nguyen Mai Hoa	Member	Resigned on 21 February 2018

SUPERVISORY BOARD

Members of the Supervisory Board during the period and at the date of this report are:

Mr. Pham Khoi Nguyen	Head of the Supervisory Board	Appointed on 21 February 2018
Ms. Le Thi Kim Thanh	Head of the Supervisory Board	Resigned on 21 February 2018
Ms. Doan Thi Thu Mai	Member	Appointed on 21 February 2018
Ms. Le Thi Duyen	Member	Appointed on 21 February 2018
Ms. Doan Thi Bich Ngoc	Member	Resigned on 21 February 2018
Ms. Doan Thi Ha	Member	Resigned on 21 February 2018

Vinhomes Joint Stock Company

[previously known as Hanoi Southern City Development Joint Stock Company]

GENERAL INFORMATION (continued)

MANAGEMENT

Members of the management during the period and at the date of this report are:

Ms. Nguyen Dieu Linh	Chief Executive Officer	Appointed on 23 February 2018
Mr. Nguyen Viet Quang	Chief Executive Officer	Resigned on 23 February 2018
Ms. Nguyen Thi Thu Hoai	Deputy Chief Executive Officer	Appointed on 21 February 2018
		Resigned on 4 June 2018
Mr. Douglas John Farrell	Deputy Chief Executive Officer	Appointed on 21 February 2018
Ms. Nguyen Ngoc Thuy Linh	Deputy Chief Executive Officer	Appointed on 21 February 2018
Mr. Nguyen Duc Quang	Deputy Chief Executive Officer	Appointed on 21 February 2018
Ms. Nguyen Mai Hoa	Deputy Chief Executive Officer	Resigned on 21 February 2018
Mr. Pham Thieu Hoa	Deputy Chief Executive Officer	
Ms. Phi Thi Thuc Nga	Deputy Chief Executive Officer	Resigned on 21 February 2018
		Appointed on 8 June 2018
Ms. Mai Thu Thuy	Deputy Chief Executive Officer	Resigned on 21 February 2018
Mr. Nguyen Van Trai	Deputy Chief Executive Officer	Appointed on 1 June 2018

LEGAL REPRESENTATIVES

The legal representatives of the Company:

- ▶ up to 22 February 2018 is Mr. Nguyen Viet Quang;
- ▶ from 23 February 2018 to 11 June 2018 is Ms. Nguyen Dieu Linh, Chief Executive Officer; and
- ▶ from 12 June 2018 to the date of this report are Ms. Nguyen Dieu Linh, Chief Executive Officer, Mr. Nguyen Van Trai, Deputy Chief Executive Officer and Mr. Pham Nhat Vuong, Chairman.

Ms. Le Thi Hai Yen is authorised to sign the financial statements of the Company in accordance with the Letter of Authorisation dated 1 March 2018.

AUDITOR

The auditor of the Company is Ernst & Young Vietnam Limited.

Vinhomes Joint Stock Company

[previously known as Hanoi Southern City Development Joint Stock Company]

REPORT OF MANAGEMENT

Management of Vinhomes Joint Stock Company ("the Company") is pleased to present this report and the interim consolidated financial statements of the Company and its subsidiaries for the six-month period ended 30 June 2018.

MANAGEMENT'S RESPONSIBILITY IN RESPECT OF THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the interim consolidated financial statements of each financial period which give a true and fair view of the interim consolidated financial position of the Company and its subsidiaries and of the interim consolidated results of its operations and its interim consolidated cash flows for the period. In preparing those interim consolidated financial statements, management is required to:

- ▶ select suitable accounting policies and then apply them consistently;
- ▶ make judgements and estimates that are reasonable and prudent;
- ▶ state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the interim consolidated financial statements; and
- ▶ prepare the interim consolidated financial statement on the going concern basis unless it is inappropriate to presume that the Company and its subsidiaries will continue its business.

Management is responsible for ensuring that proper accounting records are kept which disclose, with reasonable accuracy at any time, the interim consolidated financial position of the Company and its subsidiaries and to ensure that the accounting records comply with the applied accounting system. It is also responsible for safeguarding the assets of the Company and its subsidiaries and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Management confirmed that it has complied with the above requirements in preparing the accompanying interim consolidated financial statements.

STATEMENT BY MANAGEMENT

Management does hereby state that, in its opinion, the accompanying interim consolidated financial statements give a true and fair view of the interim consolidated financial position of the Company as at 30 June 2018 and of the interim consolidated results of its operations and its interim consolidated cash flows for the six-month period then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements.

The Company has subsidiaries as disclosed in the interim consolidated financial statements. The Company has prepared the interim consolidated financial statements to meet the prevailing requirements:

- ▶ Disclosure of information, specifically the Circular No. 155/2015/TT-BTC on guidelines for information disclosure on securities market; and
- ▶ Documents for stock dividends in Circular No. 162/2015/TT-BTC on guidelines on public offering, shares swap, issuance of additional shares, repurchase of shares, sales of treasury shares and tender offer.

For and on behalf of management:



Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

28 August 2018

Reference: 60871645/20068973-HN

INDEPENDENT AUDITORS' REPORT

To: **The Shareholders of Vinhomes Joint Stock Company**
[previously known as Hanoi Southern City Development Joint Stock Company]

We have audited the accompanying interim consolidated financial statements of Vinhomes Joint Stock Company ("the Company"), previously known as Hanoi Southern City Development Joint Stock Company, and its subsidiaries (collectively referred to as "the Company and its subsidiaries") as prepared on 28 August 2018 and set out on pages 6 to 89, which comprise the interim consolidated balance sheet as at 30 June 2018, the interim consolidated income statement and the interim consolidated cash flow statement for the six-month period then ended and the notes thereto.

Management's responsibility

Management is responsible for the preparation and fair presentation of these interim consolidated financial statements in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements, and for such internal control as management determines is necessary to enable the preparation and presentation of the interim consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these interim consolidated financial statements based on our audit. We conducted our audit in accordance with Vietnamese Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the interim consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the interim consolidated financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the interim consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the Company's preparation and fair presentation of the interim consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the interim consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the interim consolidated financial statements give a true and fair view, in all material respects, of the interim consolidated financial position of the Company and its subsidiaries as at 30 June 2018, and of the interim consolidated results of its operations and its interim consolidated cash flows for the six-month period then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements.

Other Matter

The interim consolidated financial statements of the Company and its subsidiaries for the six-month period ended 30 June 2017 were not audited or reviewed.

Ernst & Young Vietnam Limited



Le Vu Truong
Deputy General Director
Audit Practicing Registration
Certificate No. 1588-2018-004-1



Phung Manh Phu
Auditor
Audit Practicing Registration
Certificate No. 2598-2018-004-1

Hanoi, Vietnam

28 August 2018

INTERIM CONSOLIDATED BALANCE SHEET
as at 30 June 2018

Currency: VND

Code	ASSETS	Notes	30 June 2018	31 December 2017
100	A. CURRENT ASSETS		79,522,351,482,962	44,421,050,167,080
110	I. Cash and cash equivalents	5	4,718,599,887,522	1,561,577,770,818
111	1. Cash		1,056,804,069,839	818,341,400,251
112	2. Cash equivalents		3,661,795,817,683	743,236,370,567
120	II. Short-term investments	6	1,183,838,995,291	-
123	1. Held-to-maturity investments		1,183,838,995,291	-
130	III. Current accounts receivable		27,355,804,715,079	24,774,715,203,806
131	1. Short-term trade receivables	7.1	3,954,484,814,348	11,945,377,777,386
132	2. Short-term advances to suppliers	7.2	6,285,223,172,463	1,695,194,896,147
135	3. Short-term loan receivables	8	4,769,599,942,002	9,477,028,513,431
136	4. Other short-term receivables	9	12,458,487,836,762	1,755,862,686,147
137	5. Provision for doubtful short-term receivables	10	(111,991,050,496)	(98,748,669,305)
140	IV. Inventories	11	36,789,016,064,805	17,006,259,676,992
141	1. Inventories		37,001,716,994,876	17,265,369,555,979
149	2. Provision for obsolete inventories		(212,700,930,071)	(259,109,878,987)
150	V. Other current assets		9,475,091,820,265	1,078,497,515,464
151	1. Short-term prepaid expenses	12	1,107,468,061,970	786,169,470,464
152	2. Value-added tax deductible	21	246,092,331,573	83,535,446,363
153	3. Tax and other receivables from the State	21	32,648,860,706	2,214,131,652
155	4. Other current assets	13	8,088,882,566,016	206,578,466,985

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 30 June 2018

Currency: VND

Code	ASSETS	Notes	30 June 2018	31 December 2017
200	B. NON-CURRENT ASSETS		37,890,490,194,200	6,882,768,858,975
210	I. Long-term receivables		9,080,056,242,923	87,738,322,397
215	1. Long-term loan receivables		3,257,497,661	3,257,497,661
216	2. Other long-term receivables	9	9,076,798,745,262	84,480,824,736
220	II. Fixed assets		98,624,721,893	1,355,894,476,327
221	1. Tangible fixed assets	14	77,104,490,045	1,296,934,619,609
222	Cost		106,644,349,638	1,451,230,179,505
223	Accumulated depreciation		(29,539,859,593)	(154,295,559,896)
227	2. Intangible fixed assets		21,520,231,848	58,959,856,718
228	Cost		34,643,320,916	75,484,179,936
229	Accumulated amortisation		(13,123,089,068)	(16,524,323,218)
230	III. Investment properties	15	5,876,278,148,593	163,038,247,202
231	1. Cost		6,001,312,487,385	196,220,103,796
232	2. Accumulated depreciation		(125,034,338,792)	(33,181,856,594)
240	IV. Long-term assets in progress		18,848,493,688,646	2,462,055,543,041
242	1. Construction in progress	17	18,848,493,688,646	2,462,055,543,041
250	V. Long-term investments	18	189,223,000,000	1,754,972,107,124
252	1. Investments in associates	18.1	-	9,443,697,124
253	2. Investments in other entities	18.2	139,223,000,000	1,695,528,410,000
255	3. Held-to-maturity investments	18	50,000,000,000	50,000,000,000
260	VI. Other long-term assets		3,797,814,392,145	1,059,070,162,884
261	1. Long-term prepaid expenses	12	521,020,975,464	392,514,863,581
262	2. Deferred tax assets	33.3	305,293,781,784	39,743,980,836
268	3. Other long-term assets	13	1,798,349,277,786	-
269	4. Goodwill	19	1,173,150,357,111	626,811,318,467
270	TOTAL ASSETS		117,412,841,677,162	51,303,819,026,055

INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 30 June 2018

Currency: VND

Code	RESOURCES	Notes	30 June 2018	31 December 2017
300	C. LIABILITIES		74,860,008,578,929	41,180,033,529,612
310	I. Current liabilities		61,267,870,377,485	34,223,057,193,372
311	1. Short-term trade payables	20.1	3,198,079,173,648	925,390,582,708
312	2. Short-term advances from customers	20.2	18,674,344,281,808	16,845,744,264,404
313	3. Statutory obligations	21	1,619,654,878,468	230,506,823,635
314	4. Payable to employees		8,794,797,129	3,626,966,610
315	5. Short-term accrued expenses	22	4,522,720,117,359	1,738,436,383,603
318	6. Short-term unearned revenue	23	453,208,717,495	16,617,259,917
319	7. Other short-term payables	24	10,477,968,411,578	5,763,144,422,167
320	8. Short-term loans	25	22,313,100,000,000	8,699,590,490,328
330	II. Non-current liabilities		13,592,138,201,444	6,956,976,336,240
336	1. Long-term unearned revenue	23	1,827,168,980,643	268,018,281,667
337	2. Other long-term liabilities	24	4,640,274,440,392	4,453,549,069
338	3. Long-term loans	25	6,850,833,614,271	6,627,686,696,069
342	4. Long-term provisions	26	273,861,166,138	56,817,809,435

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 30 June 2018

Currency: VND

Code	RESOURCES	Notes	30 June 2018	31 December 2017
400	D. OWNERS' EQUITY		42,552,833,098,233	10,123,785,496,443
410	I. Capital	27	42,552,833,098,233	10,123,785,496,443
411	1. Share capital	27.1	26,796,115,500,000	2,000,000,000,000
411a	- Shares with voting rights		26,796,115,500,000	2,000,000,000,000
420	2. Other funds belonging to owners' equity	27.1	1,861,519,520,567	(99,117,851,011)
421	3. Undistributed earnings		9,142,752,169,807	5,003,298,133,184
421a	- Undistributed earnings by the end of prior year		103,298,133,184	2,970,805,560,320
421b	- Undistributed earnings of current period		9,039,454,036,623	2,032,492,572,864
429	4. Non-controlling interests	27.1	4,752,445,907,859	3,219,605,214,270
440	TOTAL LIABILITIES AND OWNERS' EQUITY		117,412,841,677,162	51,303,819,026,055


Phung Thi Bich Hong
Preparer


Bui Thi Ha
Chief Accountant




Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

28 August 2018

INTERIM CONSOLIDATED INCOME STATEMENT
for the six-month period ended 30 June 2018

Currency: VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
01	1. Revenue from sale of goods and rendering of services	28.1	15,527,119,314,594	5,173,288,159,893
02	2. Deductions	28.1	-	-
10	3. Net revenue from sale of goods and rendering of services	28.1	15,527,119,314,594	5,173,288,159,893
11	4. Cost of goods sold and services rendered	29	(11,192,195,969,000)	(3,137,830,905,753)
20	5. Gross profit from sale of goods and rendering of services		4,334,923,345,594	2,035,457,254,140
21	6. Finance income	28.2	7,351,096,646,226	473,110,768,521
22	7. Finance expenses	30	(924,880,247,152)	(440,264,912,804)
23	In which: Interest and bond issuance expenses		(885,829,037,529)	(396,543,009,167)
24	8. Shares of profit of associates	18.1	191,238,076	149,559,368,118
25	9. Selling expenses	31	(538,032,102,501)	(670,933,939,589)
26	10. General and administrative expenses	31	(320,521,047,293)	(286,105,771,362)
30	11. Operating profit		9,902,777,832,950	1,260,822,767,024
31	12. Other income		93,925,467,696	24,945,488,404
32	13. Other expenses		(22,359,671,176)	(13,979,415,048)
40	14. Other profit		71,565,796,520	10,966,073,356
50	15. Accounting profit before tax		9,974,343,629,470	1,271,788,840,380
51	16. Current corporate income tax expenses	33.1	(2,041,130,232,627)	(206,724,796,873)
52	17. Deferred tax income	33.3	223,574,514,404	3,352,311,169
60	18. Net profit after tax		8,156,787,911,247	1,068,416,354,676

Vinhomes Joint Stock Company
[previously known as Hanoi Southern City Development Joint Stock Company]

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INTERIM CONSOLIDATED INCOME STATEMENT (continued)
for the six-month period ended 30 June 2018

Currency: VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
61	19. Net profit after tax attributable to shareholders of the parent		8,038,523,026,040	1,007,224,975,015
62	20. Net profit after tax attributable to non- controlling interests		118,264,885,207	61,191,379,661
70	21. Basic earnings per share	35	3,463	1,679

Phung Thi Bich Hong
Preparer

Bui Thi Ha
Chief Accountant



Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

28 August 2018

INTERIM CONSOLIDATED CASH FLOW STATEMENT
for the six-month period ended 30 June 2018

Currency: VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
	I. CASH FLOWS FROM OPERATING ACTIVITIES			
01	Profit before tax		9,974,343,629,470	1,271,788,840,380
02	<i>Adjustments for:</i> Depreciation of tangible fixed assets and investment properties and amortisation of intangible fixed assets (including amortisation of goodwill)	38	135,821,989,595	225,115,727,786
03	(Reversal of provisions)/provisions		(96,419,266,874)	105,007,908,121
04	Foreign exchange gain arisen from revaluation of monetary accounts denominated in foreign currency		(45,377,691)	-
05	Profits from investing activities	38	(7,371,353,431,294)	(622,459,515,366)
06	Interest and bond issuance expenses	30	885,829,037,529	396,543,009,167
08	Operating profit before changes in working capital		3,528,176,580,735	1,375,995,970,088
09	Decrease/(increase) in receivables		946,032,522,138	(1,598,209,574,552)
10	Decrease/(increase) in inventories		6,600,577,204,138	(487,651,197,565)
11	(Decrease)/increase in payables (other than interest, corporate income tax)		(14,297,211,640,922)	4,119,982,075,057
12	Decrease/(increase) in prepaid expenses		308,115,768,362	(341,928,754,293)
14	Interest paid		(1,274,910,040,445)	(149,363,559,314)
15	Corporate income tax paid	21	(1,295,151,803,670)	(553,421,704,372)
20	Net cash flows (used in)/from operating activities		(5,484,371,409,664)	2,365,403,255,049

INTERIM CONSOLIDATED CASH FLOW STATEMENT (continued)
for the six-month period ended 30 June 2018

Currency: VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
	II. CASH FLOWS FROM INVESTING ACTIVITIES			
21	Purchase and construction of fixed assets and other long-term assets		(382,166,351,435)	(1,331,294,040,021)
22	Proceeds from disposals of fixed assets and other long-term assets		1,123,606,877,415	5,344,994,045
23	Loans to other entities and payments for purchase of debt instruments of other entities	38	(12,831,015,539,540)	(7,077,000,000,000)
24	Collections from borrowers and proceeds from sale of debt instruments of other entities		19,027,108,783,729	2,998,182,462,975
25	Payments for investments in other entities (net of cash held by entity being acquired)	38	(41,727,524,911,707)	(3,469,299,732,640)
26	Proceeds from sale of investments in other entities (net of cash held by entity being disposed)	38	22,224,154,300,144	6,408,829,200
27	Interest and dividends received		741,334,169,092	150,393,188,756
30	Net cash flows used in investing activities		(11,824,502,672,302)	(8,717,264,297,685)
	III. CASH FLOWS FROM FINANCING ACTIVITIES			
31	Capital contribution and issuance of shares	27.1	12,000,000,000,000	-
33	Drawdown of borrowings		40,796,176,601,431	9,728,014,089,757
34	Repayment of borrowings		(31,423,004,581,833)	(4,997,221,142,109)
36	Dividends paid		(907,276,675,000)	-
40	Net cash flows from financing activities		20,465,895,344,598	4,730,792,947,648

INTERIM CONSOLIDATED CASH FLOW STATEMENT (continued)
for the six-month period ended 30 June 2018

Currency: VND

Code	ITEMS	Notes	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
50	Net increase/(decrease) in cash for the period		3,157,021,262,632	(1,621,068,094,988)
60	Cash and cash equivalents at the beginning of the period		1,561,577,770,818	2,802,422,910,160
61	Impact of exchange rate fluctuation		854,072	-
70	Cash and cash equivalents at the end of the period	5	4,718,599,887,522	1,181,354,815,172


 Phung Thi Bich Hong
Preparer


 Bui Thi Ha
Chief Accountant


 Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

28 August 2018

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
as at 30 June 2018 and for the six-month period then ended

1. CORPORATE INFORMATION

Vinhomes Joint Stock Company ("the Company"), previously known as Hanoi Southern City Development JSC ("Hanoi Southern JSC"), is a joint stock company established in Vietnam in accordance with the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. In accordance with the 19th amended Enterprise Registration Certificate dated 2 February 2018, Hanoi Southern JSC has changed its business name to Vinhomes Joint Stock Company. The Company subsequently also received amended Enterprise Registration Certificates with the 23rd amendment dated 12 June 2018 as the latest.

The principal activities of the Company and its subsidiaries are to develop real estate property for sale, to provide leasing of offices, and to render real estate management and related services.

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam

The Company and its subsidiaries' normal course of business cycle of real estate development activity begins when the Company and its subsidiaries receive investment certificate, carries out land clearance and construction works until the project is completed. Accordingly, the normal course of business cycle of real estate development activity ranges from 12 months to 36 months.

The Company and its subsidiaries' normal course of business cycle of other activities is normally within 12 months.

The number of the Company's employees as at 30 June 2018: 3,745 (31 December 2017: 11).

Seasonality of interim consolidated operations

Due to the nature of real estate business, revenue from rental income and render real estate management service is expected to be stable throughout the period except when the Company and its subsidiaries introduce new investment properties into the market. On the other hand, revenue from sale of residential properties is dependent on the completion of the Company and its subsidiaries' properties projects and on the market conditions at the time these projects are on offering.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

1. CORPORATE INFORMATION (continued)

Corporate structure

As at 30 June 2018, the Company has 17 subsidiaries (as at 31 December 2017: 7 subsidiaries). The information on these subsidiaries, along with the Company's voting rights and equity interest in each subsidiary are as follows:

<i>No.</i>	<i>Company</i>	<i>Voting rights (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>	<i>Principal activities</i>
1	Ecology Development and Investment Joint Stock Company ("Ecology JSC") (*)	99.18	98.76	No. 191 Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
2	Gia Lam Urban Development and Investment Limited Liability Company ("Gia Lam LLC") (*)	99.39	98.16	No. 7 Bang Lang 1 Street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
3	Phu Gia Property Trading Limited Liability Company ("Phu Gia LLC") (*)	98.00	96.79	No. 63 Hang Ga Street, Hang Bo Ward, Hoan Kiem District, Hanoi	Investing, developing and trading real estate properties
4	Vietnam Investment and Consulting Investment Joint Stock Company ("Vietnam Investment JSC") (*)	69.50	68.64	No. 191 Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
5	Prime Land Real Estate Investment Joint Stock Company ("Prime Land JSC") (*)	92.47	92.37	Yen Nhan Village, Tien Phong Commune, Me Linh District, Hanoi	Investing, developing and trading real estate properties
6	Tay Tang Long Real Estate LLC ("Tay Tang Long LLC")	90.00	90.00	No.72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
7	Berjaya Vietnam International University Township ("Berjaya VIUT LLC")	97.90	97.90	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
8	Can Gio Tourist City Corporation ("Can Gio JSC")	99.05	99.05	No.72 Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

1. **CORPORATE INFORMATION** (continued)

Corporate structure (continued)

<i>No.</i>	<i>Company</i>	<i>Voting rights (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>	<i>Principal activities</i>
9	Metropolis Hanoi LLC	100.00	100.00	HH land area, Pham Hung Street, Nam Tu Liem District, Hanoi	Investing, developing and trading real estate properties
10	Royal City Real Estate Development and Investment JSC ("Royal City JSC")	57.85	57.85	No. 72A Nguyen Trai Street, Thuong Dinh Ward, Thanh Xuan District, Hanoi	Investing, developing and trading real estate properties
11	Vinpearl Lang Van JSC ("Lang Van JSC") (*)	99.00	95.82	No. 7 Truong Sa Street, Hoa Hai Ward, Ngu Hanh Son District, Da Nang City	Investing, developing and trading real estate properties
12	Phat Loc Commercial Investment Trading LLC ("Phat Loc LLC")	77.96	77.96	No. 127 Dinh Tien Hoang Street, Ward 3, Binh Thanh District, Ho Chi Minh City	Investing, developing and trading real estate properties
13	Berjaya Vietnam Financial Center LLC ("Berjaya VFC LLC")	67.50	67.50	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties
14	Thai Son Investment and Construction JSC ("Thai Son JSC")	99.44	99.44	No. 290 Nam Ky Khoi Nghia Street, Ward 8, District 3, Ho Chi Minh City	Investing, developing and trading real estate properties
15	Dat Rong Vang Investment and Construction JSC ("Dat Rong Vang JSC") (*)	90.30	89.80	No. 290 Nam Ky Khoi Nghia Street, Ward 8, District 3, Ho Chi Minh City	Investing, developing and trading real estate properties
16	West Hanoi Urban Development and Trading Investment JSC ("West Hanoi JSC") (*)	98.32	95.52	T4-L2-10 Times City, No. 458 Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
17	Millenium Trading Investment and Development LLC ("Millenium LLC")	100.00	100.00	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City	Investing, developing and trading real estate properties

(*) The equity interest in these subsidiaries differs from voting right since the Company controls over these subsidiaries indirectly through other subsidiaries.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

2. BASIS OF PREPARATION

2.1 Purpose of preparing the interim consolidated financial statements

The Company has subsidiaries as disclosed in Note 1. The Company has prepared the interim consolidated financial statements of the Company to meet the prevailing requirements in relation to:

- ▶ disclosure of information, specifically the Circular No. 155/2015/TT-BTC on disclosure of information on the securities market; and
- ▶ Documents for stock dividends under Circular No. 162/2015/TT-BTC on the public offering, shares swap, issuance of additional shares, repurchase of shares, sale of treasury shares and tender offer.

2.2 Accounting standards and system

The interim consolidated financial statements of the Company and its subsidiaries, which are expressed in Vietnam dong ("VND"), are prepared in accordance with Vietnamese Enterprise Accounting System and Vietnamese Accounting Standards issued by the Ministry of Finance as per:

- ▶ Decision No. 149/2001/QD-BTC dated 31 December 2001 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 1);
- ▶ Decision No. 165/2002/QD-BTC dated 31 December 2002 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 2);
- ▶ Decision No. 234/2003/QD-BTC dated 30 December 2003 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 3);
- ▶ Decision No. 12/2005/QD-BTC dated 15 February 2005 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 4); and
- ▶ Decision No. 100/2005/QD-BTC dated 28 December 2005 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 5).

Accordingly, the accompanying interim consolidated financial statements, including their utilisation are not designed for those who are not informed about Vietnam's accounting principles, procedures and practices and furthermore are not intended to present the interim consolidated financial position and interim consolidated results of operations and interim consolidated cash flows in accordance with accounting principles and practices generally accepted in countries other than Vietnam.

2.3 Applied accounting documentation system

The Company and its subsidiaries' applied accounting documentation system is the General Journal.

2.4 Fiscal year

The Company and its subsidiaries' fiscal year applicable for the preparation of its consolidated financial statements starts on 1 January and ends on 31 December.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

2. BASIS OF PREPARATION (continued)

2.5 Accounting currency

The interim consolidated financial statements are prepared in VND which is also the Company's accounting currency.

2.6 Basis of consolidation

The interim consolidated financial statements comprise the interim financial statements of the Company and its subsidiaries for the six-month period ended 30 June 2018.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Company obtains control, and continued to be consolidated until such control ceases, except when the Company only obtain temporary control and the subsidiary is acquired with a view of resale within 12 months from acquisition.

The interim financial statements of subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies.

All intra-company balances, income and expenses and unrealised gains or losses result from intra-company transactions are eliminated in full.

Non-controlling interests represent the portion of profit or loss and net assets of subsidiaries not held by the Company and are presented separately in the interim consolidated income statement and within equity in the interim consolidated balance sheet.

Impact of change in the ownership interest of a subsidiary, without a loss of control, is recorded in undistributed earnings.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an associate, the Company's investment is accounted for using the equity method of accounting. Profit/loss from this transaction is recognised in the interim consolidated income statement.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an investment in other entities, the Company's investment is accounted for using the cost method. Profit/loss from this transaction is recognised in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, cash at banks and short-term, highly liquid investments with an original maturity of not longer than three months that are readily convertible into known amounts of cash and that are subject to an insignificant risk of change in value.

3.2 Inventories

Inventories are stated at the lower of cost incurred in bringing each product to its present location and condition, and net realisable value.

Net realisable value ("NRV") represents the estimated selling price in the ordinary course of business less the estimated costs to complete and the estimated costs necessary to make the sale.

Inventory property

Property acquired or being constructed for sale in the ordinary course of business, rather than to be held for rental or capital appreciation, is held as inventory property and is measured at the lower of cost and NRV.

Cost includes:

- ▶ Freehold and leasehold and development rights for land;
- ▶ Amounts payable/paid to contractors for construction; and
- ▶ Borrowing costs, planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, construction overheads and other related costs.

Net realisable value is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less costs to completion and the estimated costs of sale.

The cost of inventory property recognised in the interim consolidated income statement on disposal is determined with reference to the specific costs incurred on the property sold and an allocation of any non-specific costs based on the relative size of the property sold.

Provision for obsolete inventories

An inventories provision is created for the estimated loss arising due to the impairment of value (through diminution, damage, obsolescence, etc.) of raw materials, finished goods, and other inventories owned by the Company and its subsidiaries, based on appropriate evidence of impairment available at the interim consolidated balance sheet date.

Increases or decreases to the provision balance are recorded into the cost of goods sold account in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.3 Receivables

Receivables are presented in the interim consolidated financial statements at the carrying amounts due from customers and other debtors, after provision for doubtful debts.

The provision for doubtful debts represents amounts of outstanding receivables at the interim consolidated balance sheet date which are doubtful of being recovered. Increases or decreases to the provision balance are recorded as general and administrative expenses in the interim consolidated income statement.

3.4 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation.

The cost of a tangible fixed asset comprises its purchase price and any directly attributable costs of bringing the tangible fixed asset to working condition for its intended use.

Expenditures for additions, improvements and renewals are added to the carrying amount of the assets and expenditures for maintenance and repairs are charged to the interim consolidated income statement as incurred.

When tangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.5 Leased assets

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset and the arrangement conveys a right to use the asset.

A lease is classified as a finance lease whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the asset to the lessee. All other leases are classified as operating leases.

Where the Company and its subsidiaries are the lessors

The net investment under finance lease contracts is included as a receivable in the interim consolidated balance sheet. The interest amount of the leased payments are recognised in the interim consolidated income statement over the period of the lease contracts to achieve a constant rate of interest on the net investment outstanding.

Assets subject to operating leases are presented as investment properties in the interim consolidated balance sheet. Initial direct costs incurred in negotiating an operating lease are recognised in the interim consolidated income statement as incurred.

Lease income is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Where the Company and its subsidiaries are the lessees

Rentals under operating leases are charged to the interim consolidated income statement on a straight-line basis over the lease term.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.6 *Intangible fixed assets*

Intangible fixed assets are stated at cost less accumulated amortisation.

The cost of an intangible fixed asset comprises its purchase price and any directly attributable costs of preparing the intangible fixed asset for its intended use.

Expenditures for additions, improvements are added to the carrying amount of the assets and other expenditures are charged to the interim consolidated income statement as incurred.

When intangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.7 *Depreciation and amortisation*

Depreciation of tangible fixed assets and amortisation of intangible fixed assets are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Buildings and structures	44 - 47 years
Machinery and equipment	5 - 10 years
Means of transportation	6 - 9 years
Office equipment	3 - 5 years
Copyrights	5 - 10 years
Computer software	3 - 5 years
Others	2 - 5 years

3.8 *Investment properties*

Investment properties are stated at cost including transaction costs less accumulated depreciation.

Subsequent expenditure relating to an investment property that has already been recognised is added to the net book value of the investment property when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing investment property, will flow to the Company and its subsidiaries.

Depreciation of investment properties are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Definite land use right	45 - 49 years
Buildings and structures	27 - 50 years
Machinery and equipment	7 - 10 years

The Company and its subsidiaries do not amortise indefinite land use rights presented as investment properties.

Investment properties are derecognised when either they have been disposed of or when the investment properties are permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the assets is recognised in the interim consolidated income statement in the period of retirement or disposal.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.8 *Investment properties* (continued)

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale. The transfer from investment property to owner-occupied property or inventories does not change the cost or the carrying value of the property for subsequent accounting at the date of change in use.

3.9 *Borrowing costs*

Borrowing costs consist of interest and other costs that the Company and its subsidiaries incur in connection with the borrowing of funds.

Borrowing costs are recorded as expense during the period in which they are incurred, except to the extent that borrowing costs that are directly attributable to the acquisition, construction or production of an asset that necessarily take a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective asset.

3.10 *Prepaid expenses*

Prepaid expenses are reported as short-term or long-term prepaid expenses on the interim consolidated balance sheet and amortised over the period for which the amounts are paid or the period in which economic benefits are generated in relation to these expenses.

Short-term prepaid expenses include commission fees for selling apartments, villas and shophouses, provisional corporate income tax for downpayments from customers for the purchase of apartments, villas and shophouses at the Company and its subsidiaries' real estate projects and other prepaid expenses that are expected to generate future economic benefit within one ordinary course of business cycle.

Long-term prepaid expenses include pre-operation expenditure, tools and supplies, long-term prepaid land rental and other prepaid expenses that generate future economic benefits for more than one year.

Prepaid land rental

The prepaid land rental represents the remaining unamortised balance of advance payment made in accordance with the lease contract signed with the authorities. Such prepaid rental is recognised as a long-term prepaid expense and is amortised to the interim consolidated income statement over the remaining lease period according to Circular 45/2013/TT-BTC. Besides, prepaid land rental also comprises land lease incurred from business combination, in which, the acquiree is a lessee under operating leases with favourable lease terms compared with the fair value at the date of business combination.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.11 Business combinations and goodwill

Business combinations are accounted for using the purchase method. The cost of a business combination is measured as the fair value of assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange plus any costs directly attributable to the business combination. Identifiable assets and liabilities and contingent liabilities assumed in a business combination are measured initially at fair values at the date of business combination.

Goodwill acquired in a business combination is initially measured at cost being the excess of the cost the business combination over the Company and its subsidiaries' interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities. If the cost of a business combination is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the interim consolidated income statement. After initial recognition, goodwill is measured at cost less any accumulated amortisation. Goodwill is amortised over 10-year period on a straight-line basis. The Company and its subsidiaries conduct the periodical review for impairment of goodwill of investment in subsidiaries. If there are indicators of impairment loss incurred is higher than the yearly allocated amount of goodwill on the straight-line basis, the higher amount will be recorded in the interim consolidated income statement.

Business combinations involving entities or businesses under common control

Business combinations involving entities or businesses under common control are accounted for as follows:

- ▶ The assets and liabilities of the two combined entities are reflected at their carrying amounts on the date of business combination;
- ▶ No goodwill is recognised from the business combination;
- ▶ The interim consolidated income statement reflects the results of the combined entities from the date of the business combination; and
- ▶ Any difference between the consideration paid and the net assets of the acquiree is recorded in equity.

After the date of business combination, if the Company and its subsidiaries transfer and lose control of investment in these entities, the difference between the cost of a business combination and net assets, which was previously recognised in owners' equity, is recognised in the interim consolidated income statement.

3.12 Assets acquisitions and business combinations

The Company and its subsidiaries acquire subsidiaries that own assets and production activities. At the date of acquisition, the Company and its subsidiaries consider whether the acquisition represents the acquisition of a business. The Company and its subsidiaries accounts for an acquisition as a business combination where an integrated set of activities is acquired in addition to the assets.

When the acquisition of subsidiaries does not represent a business combination, it is accounted for as an acquisition of a group of assets and liabilities. The cost of the acquisition is allocated to the assets and liabilities acquired based upon their relative fair values, and no goodwill or deferred tax is recognised.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.12 Assets acquisitions and business combinations (continued)

In case prior to the date that control is obtained, the investment is an investment in associate or a long-term investment and the acquisition of the subsidiary is not a business combination, when preparing the interim consolidated financial statements, the parent company shall not remeasure the previously held equity interests. Instead previously held equity interests at carrying value and the consideration were allocated to the assets and liabilities acquired based on their relative fair values on acquisition date.

3.13 Investments

Investments in associates

The Company and its subsidiaries' investment in their associate is accounted for using the equity method of accounting. An associate is an entity in which the the Company and its subsidiaries have significant influence that is neither subsidiaries nor joint ventures. The Company and its subsidiaries generally deem they have significant influence if they have over 20% of the voting rights.

Under the equity method, the investment is carried in the interim consolidated balance sheet at cost plus post acquisition changes in the Company and its subsidiaries' share of net assets of the associate. Goodwill arising on acquisition of the associate is included in the carrying amount of the investment. Goodwill is not amortised and subject to annual review for impairment by the Company and its subsidiaries. The interim consolidated income statement reflects the share of the post-acquisition results from operation of the associate.

The share of post-acquisition profit/(loss) of the associates is presented on face of the interim consolidated income statement and its share of post-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. Dividend/profit sharing received or receivable from associates reduces the carrying amount of the investment.

The financial statements of the associates are prepared for the same reporting period and use the same accounting policies as the Company and its subsidiaries. Where necessary, adjustments are made to bring the accounting policies in line with those of the Company and its subsidiaries.

Held-for-trading securities and investments in other entities

Held-for-trading securities and investments in other entities are stated at their acquisition costs.

Provision for diminution in value of the held-for-trading securities and investments in entities

Provision is made for any diminution in value of the held-for-trading securities and investments in entities at the interim consolidated balance sheet date in accordance with the guidance under the Circular No. 228/2009/TT-BTC dated 7 December 2009 and Circular No. 89/2013/TT-BTC dated 28 June 2013 issued by the Ministry of Finance. Increases or decreases to the provision balance are recorded as finance expense in the interim consolidated income statement.

Held-to-maturity investments

Held-to-maturity investments are initially stated at their acquisition costs. After initial recognition, held-to-maturity investments are measured at recoverable amount. Any impairment loss incurred is recognised as finance expense in the interim consolidated income statements and deducted against the value of such investments.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.14 Payables and accruals

Payables and accruals are recognised for amounts to be paid in the future for goods and services received, whether or not billed to the Company and its subsidiaries. Payables to construction contractors are recognised for amounts certified by the construction work certificate signed with contractors, whether or not billed to the Company and its subsidiaries.

3.15 Provisions

General provision

Provisions are recognised when the Company and its subsidiaries have a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

When the Company and its subsidiaries expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the interim consolidated income statement net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pretax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance expense.

Warranty provision for apartments and villas

The Company and its subsidiaries estimate provision for warranty expenses based on revenues and available information about the repair of inventory property sold in the past.

3.16 Foreign currency transactions

Transactions in currencies other than the Company and its subsidiaries' reporting currency of VND are recorded at the actual transaction exchange rates at transaction dates which are determined as follows:

- Transactions resulting in receivables are recorded at the buying exchange rates of the commercial banks designated for collection;
- Transactions resulting in liabilities are recorded at the selling exchange rates of the commercial banks designated for payment; and
- Payments for assets or expenses without liabilities initially being recognised is recorded at the buying exchange rates of the commercial banks that process these payments or at the average of buying and selling exchange rates of the commercial bank where the Company and its subsidiaries make payment regularly.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
 as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.16 *Foreign currency transactions* (continued)

At the end of the reporting period, monetary balances denominated in foreign currencies are translated at the actual transaction exchange rates at the interim consolidated balance sheet dates which are determined as follows:

- Monetary assets are translated at buying exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly; and
- Monetary liabilities are translated at selling exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly or at the average of buying and selling exchange rates of the commercial bank where the Company and its subsidiaries make payment regularly.

All foreign exchange differences incurred during the period and arisen from the translation of monetary accounts denominated in foreign currency at period-end are taken to the interim consolidated income statement.

3.17 *Appropriation of net profits*

Net profit after tax (excluding negative goodwill arising from a bargain purchase) is available for appropriation to investors/shareholders after approval by the annual general shareholder meeting, and after making appropriation to reserve funds in accordance with the Company's Charter and Vietnam's regulatory requirements.

3.18 *Advances from customers*

Payments received from customers as deposits for purchasing apartments, villas and shophouses in the future, that do not meet the conditions for revenue recognition, are recognised and presented as "Advances from customers" in the liability section in the interim consolidated balance sheet. Incentives under promotion programs which are, in substance, revenue deductions are offset against account "Advances from customers" which are not qualified to be recognised as revenue for the period.

3.19 *Revenue recognition*

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and its subsidiaries and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, excluding trade discount, rebate and sales return. The following specific recognition criteria must also be met before revenue is recognised:

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.19 Revenue recognition (continued)

Revenue from sale of inventory property

Revenue from sale of inventory property is recognised when the significant risks and rewards incident to ownership of the properties have been passed to the buyer.

Revenue from sale of inventory property also includes long-term lease of investment property qualified for recognition of outright sales. If the lease term is greater than 90% of the asset's useful life, the Company and its subsidiaries recognise the revenue for the entire prepaid lease payment if all following conditions are met:

- ▶ Lessee is not allowed to cancel the lease contract during the lease term, and the lessor is not responsible for reimbursing the prepaid lease payments under any circumstances;
- ▶ The prepaid lease payment is not less than 90% of the total estimated lease payment collected under contract over the lease period and lessee must pay all rental within 12 months from the commencement of the lease;
- ▶ Almost all risks and rewards associated with the ownership of leased assets are transferred to the lessee; and
- ▶ Lessor must estimate the full cost of leasing activity.

Rental income

Rental income arising from operating lease of properties is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Rendering of services

Revenue from rendering of services is recognised when the services are rendered for customers.

Interest

Income is recognised as the interest accrues (taking into account the effective yield on the asset) unless collectability is in doubt.

Dividends

Income is recognised when the Company and its subsidiaries' entitlement as an investor to receive the dividend is established.

Income from securities trading and capital transfer

Income from securities trading and capital transfer is determined as the excess of selling prices against the cost of securities sold. This income is recognised on date when the transaction arises, that is when the transfer contract is exercised.

Income from Business Cooperation Contracts in which the Company is entitled to profit before tax

Income from the profit before tax of real estate business under Business Co-operation Contracts is recognised as finance income in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.20 Taxation

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted as at the interim consolidated balance sheet date.

Current income tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the current income tax is also dealt with in equity.

Current income tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to offset current tax assets against current tax liabilities and when the Company and its subsidiaries intend to settle their current tax assets and liabilities on a net basis.

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the interim consolidated balance sheet date between the tax base of assets and liabilities and their carrying amount for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences, except :

- ▶ where the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the related transaction affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of taxable temporarily differences associated with investments in subsidiaries and associates, and interests in joint ventures where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credit and unused tax losses, to the extent that it is probable that taxable profit will be available against which deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilised, except:

- ▶ where the deferred tax asset in respect of deductible temporary difference which arises from the initial recognition of an asset or liability which at the time of the related transaction, affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of deductible temporarily differences associated with investments in subsidiaries, associates, and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at interim consolidated balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Previously unrecognised deferred tax assets are re-assessed at interim consolidated balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
 as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.20 *Taxation* (continued)

Deferred tax (continued)

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled based on tax rates and tax laws that have been enacted at the interim consolidated balance sheet date.

Deferred tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the deferred tax is also dealt with in the equity account.

Deferred tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to off-set current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority on:

- ▶ either the same taxable entity; or
- ▶ when the Company and its subsidiaries intend either settle current tax liabilities and assets on a net basis or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

3.21 *Earnings per share*

Basic earnings per share amounts are calculated by dividing net profit/(loss) after tax for the period attributable to ordinary shareholders of the Company (after adjusting for the bonus and welfare fund) by the weighted average number of ordinary shares outstanding during the period.

Diluted earnings per share amounts are calculated by dividing the net profit after tax attributable to ordinary equity holders of the Company (after adjusting for interest on the convertible preference shares) by the weighted average number of ordinary shares outstanding during the period plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

3.22 *Segment information*

A segment is a component determined separately by the Company and its subsidiaries which is engaged in providing products or related services (business segment), that is subject to risks and returns that are different from those of other segments.

Real estate trading and related services are principal sources of revenue and profit of the Company and its subsidiaries, while revenue from other activities accounts for a minimal portion in the Company and its subsidiaries' total revenue. Therefore, management is of the view that there is only one segment for business. In addition, management defines the Company and subsidiaries's geographical segments to be based on the location of the assets which is in Vietnam.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.23 Related parties

Parties are considered to be related parties of the Company and its subsidiaries if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, or when the Company and its subsidiaries and other party are under common control or under common significant influence. Related parties can be enterprise or individual, including close members of the family of any such individual.

3.24 Demerger

Demerger where the Company is the demerged company is conducted as follows:

- ▶ Assets, liabilities transferred to the new company is deducted to the respective items in the interim consolidated balance sheet by the carrying value at the date of demerger;
- ▶ Difference between assets and liabilities transferred to the new company is deducted to equity in the interim consolidated balance sheet; and
- ▶ No gain or loss is recognised for the demerger transaction.

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD

4.1 Acquisition of group of assets

During the period, the Company and its subsidiaries has acquired shares/equity interest of the following companies from individuals and corporate counterparties. Management has reviewed and assessed that the acquisition of shares/equity interest of these companies is the acquisition of group of assets, rather than business combination. The total consideration for each of these acquisitions was allocated to the assets and liabilities acquired based on their relative fair values at acquisition date. Accordingly, a part of consideration was recognised in construction in progress (Note 17). The non-controlling interests were also recognised at their relative proportion of the interests in the assets and liabilities acquired. These acquired assets and liabilities are presented in the same categories as other similar assets and liabilities held by the the Company and its subsidiaries.

Acquisition of Tay Tang Long LLC, a new subsidiary

On 18 January 2018, the Company completed the acquisition of 59% equity interest in Tay Tang Long LLC from Vingroup JSC, the parent company, and Vinpearl Joint Stock Company ("Vinpearl JSC"), an affiliate, for a total consideration of VND177 billion and thereby increased its equity interest in Tay Tang Long LLC from 31% to 90%. As a result, Tay Tang Long LLC became a subsidiary of the Company. At the date of acquisition, Tay Tang Long LLC is the owner of a potential real estate project.

Acquisition of Berjaya VIUT LLC, a new subsidiary

On 8 February 2018, the Company completed the acquisition of 97.9% equity interest in Berjaya VIUT LLC from individuals and corporate counterparties for a total consideration of VND11,748 billion. As a result, Berjaya VIUT LLC became a subsidiary of the Company. At the date of acquisition, Berjaya VIUT LLC is the owner of a potential real estate project.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.1 Acquisition of group of assets (continued)

Acquisition of Vinpearl Lang Van JSC, a new subsidiary

On 27 February 2018, the Company completed the acquisition of 91.47% equity interest in Vinpearl Lang Van JSC from Vingroup JSC, the parent company, Sai Dong Urban Development and Investment Joint Stock Company ("Sai Dong JSC") and Times Trading Investment and Development One Member LLC ("Times Trading LLC"), affiliates, for a total consideration of VND302 billion. As a result, Vinpearl Lang Van JSC became a subsidiary of the Company. At the date of acquisition, Vinpearl Lang Van JSC is the owner of a potential real estate project.

Acquisition of Metropolis Hanoi LLC, a new subsidiary

On 28 February 2018, the Company completed the acquisition of 100% equity interest in Metropolis Hanoi LLC from Vincommerce General Commerce Services JSC ("Vincommerce JSC"), an affiliate, for a total consideration of VND2,000 billion. As a result, Metropolis Hanoi LLC became a subsidiary of the Company. At the date of acquisition, Metropolis Hanoi LLC is the owner of a potential real estate project.

Acquisition of Berjaya VFC LLC, a new subsidiary

On 7 March 2018, the Company has contributed capital amounting to VND2,009 billion to Berjaya VFC LLC, equivalent to 67.5% charter capital of Berjaya VFC LLC. As a result, Berjaya VFC LLC became a subsidiary of the Company. At the date of acquisition, Berjaya VFC LLC is the owner of a potential real estate project.

Acquisition of Thai Son JSC, a new subsidiary

On 8 May 2018, the Company acquired 96.47% share of Thai Son JSC from a corporate counterparty for a total consideration of VND1,700 billion. As a result, Thai Son JSC became a subsidiary of the Company. At acquisition date, Thai Son JSC held 90.32% and 98.32% equity interest in Dat Rong Vang JSC and West Hanoi JSC, respectively. As a result, Dat Rong Vang JSC and West Hanoi JSC became subsidiaries of the Company. At the date of acquisition, West Hanoi JSC is the owner of a potential real estate project.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.2 Business combinations involving entities under common control

Merger of Tan Lien Phat Construction Investment Corporation JSC ("Tan Lien Phat JSC")

On 25 January 2018, the General Meeting of Shareholders of Tan Lien Phat JSC, an affiliate, approved the Resolution No. 02/2018/NQ-DHDCD-TLP on the merger of Tan Lien Phat JSC into the Company.

According to the merger contract dated 27 January 2018 between the Company and Tan Lien Phat JSC, the Company issued 655,000,000 shares at par value of VND10,000 per share in exchange for shares of Tan Lien Phat JSC. The issuance increased the Company's share capital by VND6,550 billion.

The principal activities of Tan Lien Phat JSC are developing, trading real estate properties. At the merger date, Tan Lien Phat JSC is the developer of Vinhomes Central Park project, located at Binh Thanh District, Ho Chi Minh City, Vietnam. Tan Lien Phat JSC's head office is located at No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City, Vietnam.

At the merger date, Tan Lien Phat JSC held 99.05% equity interest in Can Gio JSC, which owns a potential real estate project. Through the merger transaction, the Company directly holds the investment in Can Gio JSC.

The Company's management assessed that this transaction is a business combination involving two entities under common control. Thereby, the net assets acquired of Tan Lien Phat JSC and Can Gio JSC are measured at their carrying value on the interim consolidated financial statements of Vingroup JSC, the parent company. The difference between the consideration transferred and the carrying value of the net assets of Tan Lien Phat JSC and Can Gio JSC is recognised in other funds belonging to owners' equity in the interim consolidated statement of financial position.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.2 Business combinations involving entities under common control (continued)

Merger of Tan Lien Phat Construction Investment Corporation JSC ("Tan Lien Phat JSC")
(continued)

The carrying value of identifiable assets and liabilities of Tan Lien Phat JSC and Can Gio JSC at the merger date are presented below:

	<i>Currency: VND</i>
	<i>Carrying value at merger date</i>
Assets	
Cash and cash equivalents	104,934,129,001
Held-to-maturity investments	469,047,992,353
Short-term trade receivables	5,727,958,949,506
Short-term advances to suppliers	544,575,397,685
Other short-term receivables	521,588,679,555
Inventories	11,153,741,952,144
Short-term prepaid expenses	337,735,058,715
Other current assets	48,130,887,684
Investment properties	729,675,162,471
Accumulated depreciation for investment properties	(10,315,703,679)
Construction in progress	12,347,694,286,076
Goodwill (Note 19)	337,766,778,506
Other non-current assets	6,050,698,557,619
	<u>38,363,232,127,636</u>
Liabilities	
Short-term trade payables	1,092,046,389,338
Advances from customers	5,341,922,756,374
Statutory obligations	222,802,083,787
Short-term accrued expenses	1,656,492,208,317
Other liabilities	3,791,964,098,222
Short-term loans	17,362,366,019,851
Long-term provisions	54,619,597,302
	<u>29,522,213,153,191</u>
Total net assets	<u>8,841,018,974,445</u>
Non-controlling interests (Note 27)	(174,867,536,302)
Difference between consideration and net assets recognised in other funds belonging to owners' equity (Note 27.1)	(2,116,151,438,143)
Total consideration	<u>6,550,000,000,000</u>

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.2 Business combinations involving entities under common control (continued)

Merger of Tan Lien Phat Construction Investment Corporation JSC ("Tan Lien Phat JSC")
(continued)

Cash flow on merger

Net cash acquired with the merger	104,934,129,001
Cash paid up to 30 June 2018	-

Net cash flow on merger	104,934,129,001
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Total consideration of VND6,550 billion was settled by issuing 655,000,000 ordinary shares of the Company at par value of VND10,000 per share.

Acquisition of Royal City JSC, a new subsidiary

On 27 February 2018, the Company acquired 57.85% shares of Royal City JSC from Vingroup JSC, the parent company, for a total consideration of VND1,988 billion, and thereby, Royal City JSC became a subsidiary of the Company. At the date of acquisition, Royal City JSC is the owner of Vinhomes Royal City Project located on Nguyen Trai Street, Thanh Xuan District, Hanoi.

The Company's management assessed that this transaction as a business combination involving two entities under common control. Thereby, the net assets acquired of Royal City JSC are measured at the carrying value in the interim consolidated financial statements of Vingroup JSC, the parent company. The difference between the consideration transferred and the carrying value of the net assets of Royal City JSC is recognised in other funds belonging to owners' equity in the interim consolidated statement of financial position.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.2 Business combinations involving entities under common control (continued)

Acquisition of Royal City JSC, a new subsidiary (continued)

The carrying value of identifiable assets and liabilities of Royal City JSC at the date of acquisition are presented below:

	<i>Currency: VND</i>
	<i>Carrying value at acquisition date</i>
Assets	
Cash and cash equivalents	48,286,883,502
Short-term trade receivables	1,292,424,199,779
Short-term loan receivables	600,000,000,000
Inventories	27,236,370,753
Other current assets	177,790,708,870
Investment properties	511,232,010,497
Other non-current assets	124,499,976,085
	<u>2,781,470,149,486</u>
Liabilities	
Short-term trade payables	46,636,116,995
Short-term advances from customers	42,958,755,658
Short-term accrued expenses	27,403,407,219
Short-term provisions	29,160,836,381
Other liabilities	61,404,091,536
	<u>207,563,207,789</u>
Total net assets	<u>2,573,906,941,697</u>
Non-controlling interests (Note 27)	(1,090,657,666,205)
Difference between consideration and net assets recognised in other funds belonging to owners' equity (Note 27.1)	504,407,842,146
Total consideration	<u>1,987,657,117,638</u>
Cash flow on acquisition	
Net cash acquired with the subsidiary	48,286,883,502
Cash paid up to 30 June 2018	(1,987,657,117,638)
Net cash flow used in acquisition	<u>(1,939,370,234,136)</u>

Total consideration of VND1,988 billion was fully paid in cash. Profit before tax of Royal City JSC for the period from the acquisition date to 30 June 2018 is VND34 billion.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended**4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD**
(continued)**4.2 Business combinations involving entities under common control** (continued)*Acquisition of Millenium LLC, a new subsidiary*

On 1 June 2018, the Company acquired 100% equity interest in Millenium LLC from Vingroup JSC, the parent company, for a total consideration of VND1,000 billion, and thereby, Millenium LLC became a subsidiary of the Company.

The principal activities of Millenium LLC are real estates development and trading, office leasing and other related services. Millenium LLC's head office is located at Floor 20A, Vincom Center Dong Khoi Building, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City. At acquisition date, Millenium LLC is the developer of Vinhomes Golden River project at District 1, Ho Chi Minh City, Vietnam and manages the operation of the Office component of Vincom Center Dong Khoi at District 1, Ho Chi Minh City.

The Company's management assesses this transaction as a business combination involving two entities under common control. Thereby, the net assets acquired of Millenium LLC are measured at their carrying value in the interim consolidated financial statements of Vingroup JSC, the parent company. The difference between the consideration transferred and the carrying value of the net assets of Millenium LLC is recognised in other funds belonging to owners' equity in the interim consolidated statement of financial position.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.2 Business combinations involving entities under common control (continued)

Acquisition of Millenium LLC, a new subsidiary (continued)

The carrying value of identifiable assets and liabilities of Millenium LLC at the date of acquisition are presented below:

Currency: VND

*Carrying value at
acquisition date*

Assets

Cash and cash equivalents	88,206,600,423
Held-to-maturity investments	377,046,147,334
Short-term trade receivables	844,062,413,673
Short-term advances to suppliers	256,675,123,746
Short-term loan receivables	5,660,483,234,254
Other short-term receivables	323,090,793,939
Inventories	6,432,410,206,519
Short-term prepaid expenses	266,250,901,538
Investment properties	1,888,375,170,091
Construction in progress	570,133,389,793
Goodwill (Note 19)	153,044,574,162
Other assets	106,215,066,320
	16,965,993,621,792

Liabilities

Short-term trade payables	787,314,559,327
Short-term advances from customers	4,437,840,223,047
Statutory obligations	685,272,624,154
Short-term accrued expenses	1,086,287,223,599
Other short-term payables	4,660,498,978,573
Other long-term liabilities	130,707,025,639
Short-term loans	3,878,112,186,227

Total net assets

1,299,960,801,226

Difference between consideration and net assets recognized in other funds belonging to owners' equity (Note 27.1)

(299,960,801,226)

Total consideration

1,000,000,000,000

Cash flow on acquisition

Net cash acquired with the subsidiary	88,206,600,423
Cash paid up to 30 June 2018	(1,000,000,000,000)

Net cash flow used in acquisition

(911,793,399,577)

Total consideration of VND1,000 billion was fully paid in cash. Profit before tax of Millenium LLC for the period from the acquisition date to 30 June 2018 is VND409 billion.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.3 Other business combination

Merger of Vinhomes Trading and Real Estate Management JSC ("Vinhomes Management JSC")

On 25 January 2018, the General Meeting of Shareholders of Vinhomes Management JSC approved the Resolution No. 01/2018/NQ/DHDCD-VH on the merger of Vinhomes Management JSC into the Company.

According to the merger contract dated 27 January 2018 between the Company and Vinhomes Management JSC, the Company issued 381,500,000 shares at par value of VND10,000 per share in exchange for shares of Vinhomes Management JSC. The issuance increased the Company's share capital by VND3,815 billion.

The principal activities of Vinhomes Management JSC at the merger date is to invest, construct, trade and act as agency, consultant relating to real estate properties. Vinhomes Management JSC's head office located at No. 7 Bang Lang 1 Street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi.

At the date of merger, the Company was in the process of determining:

- ▶ the fair value of consideration paid by the Company; and
- ▶ identifiable assets, liabilities or contingent liabilities of Vinhomes Management JSC at the date of acquisition.

Therefore, the Company applied provisional accounting method to consolidate this company.

The provisional fair value of identifiable assets and liabilities of Vinhomes Management JSC at the acquisition date are presented below:

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.3 Other business combination (continued)

Merger of Vinhomes Trading and Real Estate Management JSC ("Vinhomes Management JSC") (continued)

Currency: VND

*Provisional fair value at
merger date*

Assets	
Cash	436,915,335,232
Held-to-maturity investments	172,130,755,950
Short-term trade receivables	856,634,989,252
Short-term advances to suppliers	300,287,774,697
Short-term loan receivables	6,655,000,000,000
Other short-term receivables	60,868,234,328
Inventories	2,989,585,863,943
Provision for obsolete inventories	(160,416,097,560)
Other short-term assets	74,049,195,945
Tangible fixed assets	27,201,933,528
Accumulated depreciation for tangible fixed assets	(14,081,347,316)
Investment properties	2,487,004,662,163
Accumulated depreciation for investment properties	(13,742,229,879)
Deferred tax asset (Note 33.3)	42,858,004,819
Other long-term assets	57,077,519,205
	13,971,374,594,307
Liabilities	
Short-term trade payables	732,056,233,243
Advances from customers	1,535,686,360,613
Statutory obligations	148,347,886,487
Short-term accrued expenses	1,447,722,481,729
Unearned revenue	1,895,303,265,448
Dividend payables	934,675,000,000
Long-term provisions	50,253,617,028
Other payables	3,442,589,083,536
	3,784,740,666,223
Total net asset	3,784,740,666,223
Goodwill (Note 19)	30,259,333,777
	3,815,000,000,000
Provisional fair value of consideration	3,815,000,000,000
Cash flow on merger	
Net cash acquired with the merger	436,915,335,232
Cash paid up to 30 June 2018	-
	436,915,335,232
Net cash flow on merger	436,915,335,232

Total consideration of VND3,815 billion was settled by issuing 381,500,000 ordinary shares of the Company at par value of VND10,000 per share.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.3 Other business combination (continued)

Acquisition of Phat Loc LLC, a new subsidiary

On 28 February 2018, the Company acquired of 77.96% Phat Loc LLC from individuals for a total consideration of VND316.9 billion. Accordingly, Phat Loc LLC became a subsidiary of the Company. At the date of acquisition, Phat Loc LLC is the owner of a potential real estate project located in Binh Thanh District, Ho Chi Minh City.

On 30 June 2018, the Company was in the process of determining the fair value of identifiable assets and liabilities of Phat Loc LLC at the date of acquisition. Therefore, the Company applied provisional accounting method to consolidate this company. The provisional fair value of identifiable assets and liabilities of Phat Loc at the acquisition date are presented below:

	<i>Currency: VND</i>
	<i>Provisional fair value at acquisition date</i>
Assets	
Cash	9,597,036,150
Trade receivables	56,351,012,773
Other receivables	90,222,222,222
Investment properties	141,310,152,586
Construction in progress	12,639,714,775
Other assets	39,600,000
	310,159,738,506
Liabilities	
Short-term loans	13,100,000,000
Other payables	1,524,600,049
Total Net Asset	295,535,138,457
Non-controlling interests (Note 27)	(65,135,944,516)
Goodwill (Note 19)	86,527,206,059
Provisional fair value of consideration	316,926,400,000
Cash flow on acquisition	
Net cash acquired with the subsidiary	9,597,036,150
Cash paid up to 30 June 2018	(316,926,400,000)
Net cash flow used in acquisition	(307,329,363,850)

Total consideration of VND316.9 billion was fully paid in cash. Profit before tax of Phat Loc LLC for the period from the acquisition date to 30 June 2018 is VND2 billion.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

4. SIGNIFICANT ACQUISITIONS, MERGERS AND DISPOSALS DURING THE PERIOD
(continued)

4.4 Disposals of subsidiaries

Disposal of VinDS Trading and Services LLC ("VinDS LLC")

On 3 January 2018, VinDS LLC was merged into Vincommerce JSC according to the Merger Contract signed between VinDS LLC and Vincommerce JSC, a subsidiary of Vingroup JSC. Subsequently, on 11 January 2018, the Company disposed all of its equity interest in Vincommerce JSC to Vingroup JSC, the parent company, for a cash consideration of VND693 billion. Accordingly, the Company recorded a gain from this disposal in interim consolidated income statement (Note 28.2).

5. CASH AND CASH EQUIVALENTS

Currency: VND

	30 June 2018	31 December 2017
Cash on hand	2,086,448,350	159,912,175
Cash at banks	1,054,717,621,489	815,874,983,916
Cash in transit	-	2,306,504,160
Cash equivalents	3,661,795,817,683	743,236,370,567
TOTAL	<u>4,718,599,887,522</u>	<u>1,561,577,770,818</u>

Cash equivalents as at 30 June 2018 comprise bank deposits in VND with term ranging from 1 month to 3 months, earning interests ranging from 4.1 – 5.5% per annum (as at 31 December 2017: 4.2 – 5.5% per annum).

Details of each type of foreign currency in original currency:

	30 June 2018	31 December 2017
Foreign currency:		
- United States dollar (USD)	77,058	6,915

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

6. SHORT-TERM INVESTMENTS

Currency: VND

	30 June 2018		31 December 2017	
	Cost	Carrying value	Cost	Carrying value
Short-term bank deposit (i)	1,183,838,995,291	1,183,838,995,291	-	-
TOTAL	1,183,838,995,291	1,183,838,995,291	-	-

(i) Short-term bank deposits in VND as at 30 June 2018 have terms ranging from more than 6 months to 13 months and earning interest rates ranging from 6.0% to 7.1% per annum.

7. TRADE RECEIVABLES AND ADVANCES TO SUPPLIERS

7.1 Short-term trade receivables

Currency: VND

	30 June 2018	31 December 2017
Sale of inventory properties	3,484,533,496,311	852,651,790,464
Leasing activities and rendering related services	270,405,561,301	256,082,095,444
Rendering real estate management services	199,545,756,736	-
Disposal of investments	-	10,836,643,891,478
TOTAL	3,954,484,814,348	11,945,377,777,386

In which:

Trade receivables from other parties	3,622,769,871,816	2,074,306,433,306
Trade receivables from related parties (Note 34)	331,714,942,532	9,871,071,344,080

In which, details of receivable balance more than 10% ending balance

Vingroup JSC	-	9,822,251,781,478
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7.2 Short-term advances to suppliers

Currency: VND

	30 June 2018	31 December 2017
Advances to other suppliers	6,194,730,065,575	1,587,118,313,431
- Hanoi Finance Department	2,662,800,000,000	-
- Land Fund Development Center of Gia Lam District	1,513,353,763,464	792,312,969,328
- Land Fund Development Center Hanoi	521,078,501,166	-
- Others	1,497,497,800,945	794,805,344,103
Advances to related parties (Note 34)	90,493,106,888	108,076,582,716
TOTAL	6,285,223,172,463	1,695,194,896,147
Provision for doubtful advances to suppliers	(15,642,381,191)	(2,400,000,000)

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

8. SHORT-TERM LOAN RECEIVABLES

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Loans to individuals (i)	4,679,600,000,000	6,771,028,571,429
Loans to related parties (Note 34)	70,000,000,000	2,684,000,000,000
Current portion of loan receivables (ii)	19,999,942,002	21,999,942,002
TOTAL	<u>4,769,599,942,002</u>	<u>9,477,028,513,431</u>
Provisions for doubtful loan receivables	(67,643,669,305)	(67,643,669,305)

(i) Balance as at 30 June 2018 mainly comprises loans to corporate counterparties and individuals with terms ranging from 6 to 12 months, earning interest rate at 8% per annum. These included loans to three (03) corporate counterparties amounting to VND4,500 billion guaranteed by a number of shares and a portion of the capital contributed by the borrowers.

(ii) These lendings are secured by assets at commercial outlets of these corporate counterparties.

9. OTHER RECEIVABLES

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Short-term		
Deposit for investment purpose (i)	7,900,000,000,000	-
Receivables from Business Co-operation Contracts (ii)	2,328,345,756,593	-
Interest income on loans, deposits	585,790,629,136	445,998,056,165
Receivables from centralised cash flow management accounts (iii)	564,355,333,466	53,070,861,526
Short-term deposits, mortgage	444,515,975,000	56,767,160,790
Receivables from payment on behalf Customers' advances collected by third party on behalf of the Company and its subsidiaries	279,504,142,995	137,857,940,830
Others	355,975,999,572	1,033,361,277,516
TOTAL	<u>12,458,487,836,762</u>	<u>1,755,862,686,147</u>
<i>In which:</i>		
Receivables from other parties	1,364,275,576,932	1,610,486,942,318
Receivables from related parties (Note 34)	11,094,212,259,830	145,375,743,829
Provision for doubtful other short-term receivables	(28,705,000,000)	(28,705,000,000)
Long-term		
Deposit for investment purpose (iv)	9,000,000,000,000	-
Others	76,798,745,262	84,480,824,736
TOTAL	<u>9,076,798,745,262</u>	<u>84,480,824,736</u>

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

9. OTHER RECEIVABLES (continued)

- (i) Balance as at 30 June 2018 represents certain unsecured deposits of VND7,900 billion to Vingroup JSC for the purpose of investing in some real estate projects under Business Co-operation Contracts.
- (ii) Balance as at 30 June 2018 represents receivables for profit distributed from Business Co-operation Contracts with Vingroup JSC for the purpose of investing in Vinhomes Riverside The Harmony 2, Vinhomes Imperia Hai Phong and Vinhomes Dragon Bay projects. The total receivables from these contracts is presented in Note 28.2. These receivables are subsequently received in cash after 30 June 2018.
- (iii) Pursuant to the Centralised Cash Flow Management Agreement with Vingroup JSC, the parent company, would perform centralised cash flow management for all companies within the Group via bank accounts at Joint Stock Commercial Bank for Investment and Development of Vietnam ("BIDV"). Accordingly, this represents the receivables from Vingroup JSC following the centralised cash flow management system at BIDV.
- (iv) Balance as at 30 June 2018 represents a deposit of VND9,000 billion to a corporate counterparty for the purpose of investing in some real estate projects under Business Co-operation Contracts. This is guaranteed by shares of this corporate counterparty owned by other shareholders.

10. BAD DEBTS

The Company and its subsidiaries' bad debts include overdue loan principals and interests receivable from corporate counterparties:

Debtor	Currency: VND			
	30 June 2018		31 December 2017	
	Cost	Recoverable amount	Cost	Recoverable amount
Corporate counterparties	197,317,167,672	85,326,117,176	106,704,942,000	7,956,272,695
TOTAL	197,317,167,672	85,326,117,176	106,704,942,000	7,956,272,695

Details of overdue receivables more than 10% of ending balance:

Phu Son Cement JSC	82,705,000,000	-	82,705,000,000	-
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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

11. INVENTORIES

Currency: VND

	30 June 2018		31 December 2017	
	Cost	Provision	Cost	Provision
Inventory properties under construction (i)	32,700,994,557,044	(92,746,389,678)	14,576,232,471,898	(78,720,193,331)
Completed inventory properties (ii)	2,093,314,074,207	-	154,504,452,970	-
Inventories acquired for sales (iii)	2,173,344,427,486	(119,954,540,393)	2,418,908,952,989	(131,131,232,245)
Inventories for retail outlets	-	-	115,615,927,880	(49,258,453,411)
Others	34,063,936,139	-	107,750,242	-
TOTAL	37,001,716,994,876	(212,700,930,071)	17,265,369,555,979	(259,109,878,987)

- (i) Mainly includes construction and development costs for apartments, villas, office, school, hotel and shopping malls of Vinhomes Green Bay, Vinhomes Metropolis, Vinhomes Golden River, VinCity Gia Lam, VinCity Park and Vinhomes Central Park projects.
- (ii) Mainly includes completed apartments of Vinhomes Times City and school, hospital for transfer of Vinhomes Central Park project.
- (iii) Mainly includes villas acquired for sales of Vinhomes Riverside and Vinhomes Thang Long projects.

As at 30 June 2018, all properties, real estates (completed or will be completed in the future) belong to Landmark hotel were used as collateral for bonds of Vinpearl JSC, an affiliate.

Detail movements of provision for obsolete inventories:

Currency: VND

	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
Beginning balance	259,109,878,987	8,386,879,738
Add: Provision made during the period	55,014,496,967	106,474,650,584
Add: Increase from merger with other companies during the period	160,416,097,560	-
Less: Disposal of subsidiary	(49,258,453,411)	-
Less: Utilisation of provision during the period	(212,581,090,032)	-
Ending balance	<u>212,700,930,071</u>	<u>114,861,530,322</u>

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12. PREPAID EXPENSES

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Short-term		
Selling expenses related to apartments not yet handed over	897,077,181,568	607,480,080,694
Provisional corporate income tax	195,126,026,261	173,135,075,150
Others	15,264,854,141	5,554,314,620
TOTAL	<u>1,107,468,061,970</u>	<u>786,169,470,464</u>
Long-term		
Prepaid land rental (i)	372,098,854,241	378,947,299,410
Prepaid villas rental	52,904,158,425	-
Tools and supplies	26,076,034,674	13,531,226,142
Leasing commission	12,592,970,424	-
Others	57,348,957,700	36,338,029
TOTAL	<u>521,020,975,464</u>	<u>392,514,863,581</u>

(i) These are land rental rights for Ecology JSC's shopping malls operating under Business Co-operation Contract.

13. OTHER ASSETS

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Short-term		
Deposits for investment purpose (i)	7,858,895,463,363	10,000,000,000
Electrical equipment systems (ii)	229,987,102,653	196,578,466,985
TOTAL	<u>8,088,882,566,016</u>	<u>206,578,466,985</u>
<i>In which:</i>		
Deposits for other parties	4,573,595,966,016	206,578,466,985
Deposits for related parties (Note 34)	3,515,286,600,000	-
Long-term		
Deposits for investment purpose (iii)	766,000,000,000	-
Deposits for trading purpose (iv)	1,032,349,277,786	-
TOTAL	<u>1,798,349,277,786</u>	<u>-</u>
<i>In which:</i>		
Deposits for other parties	1,032,349,277,786	-
Deposits for related parties (Note 34)	766,000,000,000	-

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

13. OTHER ASSETS (continued)

(i) As at 30 June 2018, this mainly comprises:

- ▶ Deposits of VND3,568.7 billion to corporate counterparties for acquiring shares in certain companies that have potential real estate projects. One of these deposits is guaranteed for payment by an individual and a corporate counterparty. Subsequent to the interim balance sheet date, the Company has completed the acquisition of one company and convert the deposits into investment in subsidiary (Note 39);
- ▶ A deposit of VND2,233 billion to Vingroup JSC and a subsidiary of the Group for acquiring additional shares/equity interest of certain subsidiaries that own potential real estate projects. These deposits were secured by the entire shares/equity interest of Vingroup JSC and subsidiary of the Group and related rights and benefit in these companies;
- ▶ An unsecured deposit of VND1,232.5 billion to Vingroup JSC for the purpose of acquiring and cooperation of some real estate projects; and
- ▶ An unsecured deposit of VND694 billion to a corporate counterparty for the purpose of acquiring a potential real estate project.

(ii) This is electrical equipment system which will be transferred to Hanoi City Power Corporation.

(iii) As at 30 June 2018, this comprises:

- ▶ Unsecured deposits of VND466 billion to Vingroup JSC for transfer some real estate projects under Project Transfer Agreements; and
- ▶ Deposits of VND300 billion to Vingroup JSC for acquiring additional shares of its subsidiaries that own potential real estate projects. These deposits were secured by certain shares and related rights, benefit of Vingroup JSC in these companies.

(iv) Unsecured deposits to a corporate counterparty earning interest rate which is determined by 12-month interest (paid in arrears) VND saving rate of Joint Stock Commercial Bank for Foreign Trade of Vietnam, adjusted each 3-month. The deposit and interest will be used as settlement for 10% of contract value under separate contracts between the Company and its subsidiaries and this corporate counterparty.

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

14. TANGIBLE FIXED ASSETS

Currency: VND

	Buildings and structures	Machinery and equipment	Means of transportation	Office equipment	Others	Total
Cost:						
Beginning balance	1,180,896,945,732	194,648,470,255	3,019,235,970	72,665,527,548	-	1,451,230,179,505
Newly purchased	-	555,759,731	1,667,461,324	51,445,455	-	2,274,666,510
Addition from merger and acquisition	-	17,443,134,657	69,215,960,343	1,260,504,155	11,015,399,907	98,934,999,062
Sold, disposal	(682,990,660,826)	(99,715,104,839)	(4,699,448,314)	-	-	(787,405,213,979)
Disposal of subsidiary	(88,409,333,386)	(141,410,999)	-	(71,544,587,432)	-	(160,095,331,817)
Transfer to investment properties	(409,496,951,520)	(88,797,998,123)	-	-	-	(498,294,949,643)
Ending balance	-	23,992,850,682	69,203,209,323	2,432,889,726	11,015,399,907	106,644,349,638
<i>Fully depreciated</i>	-	15,294,201,970	2,578,015,910	1,004,912,605	246,244,978	19,123,375,463
Accumulated depreciation:						
Beginning balance	82,403,234,947	42,234,501,855	3,019,235,970	26,638,587,124	-	154,295,559,896
Depreciation for the period	7,401,970,197	14,399,401,217	109,983,933	42,016,471	3,749,306,469	25,702,678,287
Addition from merger	-	10,345,392,061	178,086,174	1,072,317,075	2,485,552,006	14,081,347,316
Sold, disposal	(44,617,600,953)	(33,492,902,326)	-	-	-	(78,110,503,279)
Disposal of subsidiary	(35,084,317,880)	(13,819,993)	-	(26,435,958,386)	-	(61,534,096,259)
Transfer to investment properties	(10,103,286,311)	(14,791,840,057)	-	-	-	(24,895,126,368)
Ending balance	-	18,680,732,757	3,307,306,077	1,316,962,284	6,234,858,475	29,539,859,593
Net carrying amount:						
Beginning balance	1,098,493,710,785	152,413,968,400	-	46,026,940,424	-	1,296,934,619,609
Ending balance	-	5,312,117,925	65,895,903,246	1,115,927,442	4,780,541,432	77,104,490,045

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
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15. INVESTMENT PROPERTIES

	Land use rights	Buildings and structures	Machinery and equipment	Total
Cost:				
Beginning balance	-	149,492,371,863	46,727,731,933	196,220,103,796
Addition from merger and acquisition (Note 4)	2,742,541,377,892	2,911,063,552,349	103,992,227,567	5,757,597,157,808
Newly purchased	2,272,309,520	36,171,339,185	-	38,443,648,705
Construction completed	27,620,433,638	64,500,910,128	8,207,698,926	100,329,042,692
Transfer from owner-occupied property	45,664,206,200	363,832,745,318	88,797,998,125	498,294,949,643
Sold, disposal (i)	(335,373,750,369)	(200,897,886,473)	-	(536,271,636,842)
Other decreases	-	(53,300,778,417)	-	(53,300,778,417)
Ending balance	2,482,724,576,881	3,270,862,253,953	247,725,656,551	6,001,312,487,385
Accumulated depreciation:				
Beginning balance	-	12,413,975,718	20,767,880,876	33,181,856,594
Addition from merger (Note 4)	7,767,586,498	14,988,992,226	1,301,354,834	24,057,933,558
Transfer from owner-occupied property	-	10,103,286,311	14,791,840,057	24,895,126,368
Sold, disposal (i)	-	(3,175,617,911)	-	(3,175,617,911)
Depreciation for the period	6,871,986,330	31,329,603,900	8,430,370,609	46,631,960,839
Other decreases	-	(556,920,656)	-	(556,920,656)
Ending balance	14,639,572,828	65,103,319,588	45,291,446,376	125,034,338,792
Net carrying amount:				
Beginning balance	-	137,078,396,145	25,959,851,057	163,038,247,202
Ending balance (ii)	2,468,085,004,053	3,205,758,934,365	202,434,210,175	5,876,278,148,593

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

15. INVESTMENT PROPERTIES (continued)

- (i) Investment properties sold and disposed during the period include shophouses and commercial leasing areas, villas, apartments, shophouses for lease in Vinhomes Riverside project and Vinhomes Central Park project.
- (ii) As at 30 June 2018, investment properties mainly represent: office-for-lease component in Vinhomes Times City project; office component of Vincom Centre Dong Khoi at No. 72, Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City; the office building at No. 127, Dinh Tien Hoang Street, Ward 3, Binh Thanh District, Ho Chi Minh City; parking component in Vinhomes Times City, Vinhomes Central Park, Vinhomes Golden River, Vinhomes Royal City projects; and villas for lease in Vinhomes Riverside project.

The Company has not determined fair value of investment properties as at 30 June 2018 because of insufficient market information for fair value determination purpose. However, based on the plan to use these investment properties, the Management believes that the fair value of these investment properties is higher than their net carrying amount.

16. CAPITALISED BORROWING COSTS

During the period, the Company and its subsidiaries capitalised borrowing costs with an amount of approximately VND203 billion (for the six-month period ended 30 June 2017: VND29 billion). These borrowing costs mainly related to specific borrowings obtained to finance the construction of Vinhomes Central Park, Vinhomes Green Bay, VinCity Gia Lam, VinCity Park, and Vinhomes Metropolis projects. The capitalised borrowing costs are determined by applying a capitalisation rate from 7% per annum to 10.03% per annum (for the six-month period ended 30 June 2017: 7%).

17. CONSTRUCTION IN PROGRESS

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Vinhomes Long Beach Can Gio project	12,367,962,645,985	-
Vinhomes Melodia project	1,470,239,502,546	-
VinCity Park project	1,248,690,114,589	-
Vinhomes Ky Hoa project	1,128,881,838,430	-
VinCity Gia Lam project	681,458,922,861	1,566,693,795,705
Vinhomes Me Linh project	636,648,707,303	636,534,654,499
Vinhomes Golden River project	594,620,517,516	-
Vinhomes Lang Van project	501,209,960,926	-
Vinhomes Green Bay project	146,837,372,556	192,252,033,947
Vinhomes Thang Long project	-	51,292,959,544
Other projects	71,944,105,934	15,282,099,346
TOTAL (*)	<u>18,848,493,688,646</u>	<u>2,462,055,543,041</u>

(*) The balance represents construction costs, land clearance costs, project development costs and consideration for acquisition of subsidiaries allocated as a part of project acquisition costs.

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as at 30 June 2018 and for the six-month period then ended

18. LONG-TERM INVESTMENTS

	Currency: VND			
	30 June 2018		31 December 2017	
	Cost	Provision	Cost	Provision
Investments in associates (Note 18.1)	-	-	9,443,697,124	-
Investments in other entities (Note 18.2)	139,223,000,000	-	1,695,528,410,000	-
Held-to-maturity investments (i)	50,000,000,000	-	50,000,000,000	-
TOTAL	189,223,000,000	-	1,754,972,107,124	-

- (i) As at 30 June 2018, the balance represents the investment in bonds of Joint Stock Commercial Bank for Foreign Trade of Vietnam with term of 120 months from 25 November 2016 and earning interest rate of 7.57% per annum for the first year. Interest rate from the following years would be 12-month individual saving interest (+) 1% per annum. The carrying amount of these bonds as at 31 December 2017 is VND50 billion.

18.1 Investments in associates

Movements of the investments in associates are presented below:

		Currency: VND
		Tay Tang Long LLC
Cost of investment:		
Beginning balance		9,000,000,000
Additional investments for the period		84,000,000,000
Step-up acquisition from associate to subsidiary		(93,000,000,000)
Ending balance		-
Accumulated share in post-acquisition profit of the associates:		
Beginning balance		443,697,124
Share of profit from associates		191,238,076
Step-up acquisition from associate to subsidiary		(634,935,200)
Ending balance		-
Net carrying amount:		
Beginning balance		9,443,697,124
Ending balance		-

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18. LONG-TERM INVESTMENTS (continued)

18.2 Investments in other entities

Currency: VND

	30 June 2018				31 December 2017			
	Number of shares	Voting right (%)	Equity interest (%)	Amount (*) (VND)	Number of shares	Voting right (%)	Equity interest (%)	Amount (VND)
Thanh Pho Ho Chi Minh Investment Service Trading JSC ("Vicentra JSC")								
(i)	-	-	-	-	2,770,980	1.00	1.00	81,743,910,000
Vincom Retail Joint Stock Company								
("Vincom Retail JSC") (Note 27.1)	-	-	-	-	156,888,450	8.25	8.25	1,568,884,500,000
Vincom General Service Trading LLC								
(ii)	-	-	-	-	(**)	6.00	6.00	24,000,000,000
VinAcademy Education and Training LLC								
("VinAcademy LLC") (ii)	-	-	-	-	(**)	6.00	6.00	15,000,000,000
Southern Star Urban Development and Trading Investment JSC ("Southern Star JSC") (ii)	-	-	-	-	590,000	0.98	0.98	5,900,000,000
VinEstate Real Estate Service Trading LLC ("VinEstate LLC") (iii)	(**)	19.50	19.50	117,000,000,000	-	-	-	-
Xavinco Land JSC ("Xavinco JSC")	2,000,000	1.00	1.00	22,223,000,000	-	-	-	-
TOTAL				139,223,000,000				1,695,528,410,000

(*) As at 30 June 2018, the Company did not determine fair value of these investment because shares of these companies are not listed on the stock market.

(**) These are limited liability companies.

(i) As at 1 June 2018, the Company completed the acquisition of 100% shares of Millenium LLC. On the same date, Vicentra JSC was merged into Millenium LLC (Note 4.2);

(ii) These investments were transferred to affiliates in January 2018, and there was no gain/loss incurred from these transactions; and

(iii) On 27 February 2018, the Company completed the contribution of VND117 billion, equivalent to 19.5% of equity interest of VinEstate LLC. Thereby, VinEstate LLC became an investment in other entities of the Company.

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)

19. GOODWILL

Currency: VND

	Goodwill arising from acquisition of Ecology JSC	Goodwill arising from acquisition of Vietnam Investment JSC	Goodwill arising from acquisition of Gia Lam LLC	Goodwill arising from acquisition of Phu Gia LLC	Goodwill arising from acquisition of Phat Loc LLC	Goodwill arising from acquisition of Tan Lien Phat JSC	Goodwill arising from acquisition of Vinhomes Management JSC	Goodwill arising from acquisition of Millenium LLC	Total
Cost:									
Beginning balance	369,866,854,773	288,148,907,591	1,235,307,223	40,344,641,425	-	-	-	-	699,595,711,012
Addition resulting from subsidiaries (Note 4)	-	-	-	-	86,527,206,059	337,766,778,506	30,259,333,777	153,044,574,162	607,597,892,504
Ending balance	369,866,854,773	288,148,907,591	1,235,307,223	40,344,641,425	86,527,206,059	337,766,778,506	30,259,333,777	153,044,574,162	1,307,193,603,516
Accumulated amortisation:									
Beginning balance	38,456,456,826	29,999,064,352	128,607,327	4,200,264,040	-	-	-	-	72,784,392,545
Amortisation for the period	18,493,342,739	14,407,445,380	61,765,361	2,017,232,071	2,884,240,202	20,620,013,750	1,260,805,574	1,514,008,783	61,258,863,860
Ending balance	56,949,799,565	44,406,509,732	190,372,688	6,217,496,111	2,884,240,202	20,620,013,750	1,260,805,574	1,514,008,783	134,043,246,405
Net carrying amount:									
Beginning balance	331,410,397,947	258,149,843,239	1,106,699,896	36,144,377,385	-	-	-	-	626,811,318,467
Ending balance	312,917,055,208	243,742,397,859	1,044,934,535	34,127,145,314	83,642,965,857	317,146,764,756	28,998,528,203	151,530,565,379	1,173,150,357,111

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20. SHORT-TERM TRADE PAYABLES AND ADVANCES FROM CUSTOMERS

20.1 Short-term trade payables

Currency: VND

	<i>Balance (Amount payable)</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Short-term trade payables	2,606,500,248,460	629,985,256,556
- A corporate counterparty rendering construction service	763,330,489,711	66,222,458,251
- Hoa Binh Construction JSC	237,273,941,294	-
- Delta – V Contech JSC	109,361,235,543	-
- Lanmak Real Estate Construction Investment JSC	70,849,418,839	100,785,912,863
- A corporate counterparty rendering real estate management service	-	54,453,054,935
- Others	1,425,685,163,073	408,523,830,507
Trade payables to related parties (Note 34)	591,578,925,188	295,405,326,152
TOTAL	3,198,079,173,648	925,390,582,708

20.2 Short-term advances from customers

Currency: VND

	<i>30 June 2018</i>	<i>31 December 2017</i>
Downpayments from customers under sales and purchase agreements (i)	18,633,623,324,204	16,843,606,855,148
Advance from customers for leasing	38,577,056,643	-
Others	2,143,900,961	2,137,409,256
TOTAL	18,674,344,281,808	16,845,744,264,404

- (i) This mainly represents downpayments to purchase apartments, villas and shophouses in Vinhomes Metropolis, Vinhomes Green Bay, Vinhomes Golden River, Vinhomes Thang Long, Vinhomes Riverside, Vinhomes Central Park and Vinhomes Times City projects from customers who signed sales and purchase agreements with the Company and its subsidiaries.

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as at 30 June 2018 and for the six-month period then ended

23. DEFERRED REVENUE

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Short-term		
Deferred revenue from real estate management service	374,438,483,696	-
Deferred revenue from leasing service	69,373,119,518	16,617,259,917
Others	9,397,114,281	-
	453,208,717,495	16,617,259,917
Long-term		
Deferred revenue from real estate management service	1,564,230,166,306	-
Deferred revenue from leasing service	262,938,814,337	268,018,281,667
	1,827,168,980,643	268,018,281,667
TOTAL	2,280,377,698,138	284,635,541,584

24. OTHER PAYABLES

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Short-term		
Deposits, loans and other agreements related to real estate projects	5,792,737,061,903	4,065,004,830,340
Deposits for share transfer purpose	-	961,124,640,000
Deposit under Business Co-operation Contracts (i)	2,322,000,000,000	188,000,000,000
Apartment maintenance fund held on behalf of customers (ii)	1,573,335,654,400	471,081,820,805
Deposit from brokerage agents and tenants	136,805,118,425	-
Others	653,090,576,850	77,933,131,022
TOTAL	10,477,968,411,578	5,763,144,422,167
<i>In which:</i>		
Other short-term payable to others	7,861,661,457,440	5,523,266,893,090
Other short-term payables to related parties (Note 34)	2,616,306,954,138	239,877,529,077
Long-term		
Deposit for investment purpose (iii)	4,500,000,000,000	-
Other long-term deposits	133,538,220,340	4,453,549,069
Others	6,736,220,052	-
TOTAL	4,640,274,440,392	4,453,549,069
<i>In which:</i>		
Other long-term payable to others	140,274,440,392	4,453,549,069
Other long-term payables to related parties (Note 34)	4,500,000,000,000	-

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

24. OTHER PAYABLES (continued)

- (i) These pertain to deposits from a number of affiliates to the Company pursuant to Business Co-operation Contracts for purpose of co-operation and transfer of malls, schools and hospital components of Vinhomes Central Park and Vinhomes Metropolis projects. The deposits related to the malls components are bearing interest at 10% per annum;
- (ii) This pertains to maintenance fund held on behalf of customers of Vinhomes Times City, Vinhomes Central Park and Vinhomes Golden River projects, which will be transferred to Building Management Boards. The Company and its subsidiaries are maintaining these fund in cash equivalents and held-to-maturity investment; and
- (iii) This pertains to deposit received from Vingroup JSC pursuant to a Business Co-operation Contract in order to develop VinCity Park project. The deposit is bearing interest at 8.4% per annum.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

25. LOANS

	31 December 2017			Movement during the period		30 June 2018		Currency: VND
	Balance	Payable amount		Increase	Decrease	Balance	Payable amount	
Short-term								
Loans from banks	-	-		194,189,369,044	(194,189,369,044)	-	-	
Current portion of long-term loans from banks	-	-		2,269,366,019,851	(2,269,366,019,851)	-	-	
Loans from individual (ii)	-	-		922,200,000,000	(909,100,000,000)	13,100,000,000	13,100,000,000	
Loans from corporate counterparties (iii)	2,000,000,000,000	2,000,000,000,000		9,102,000,000,000	(6,502,000,000,000)	4,600,000,000,000	4,600,000,000,000	
Loans from related parties (Note 34)	6,699,590,490,328	6,699,590,490,328		38,245,454,593,021	(27,245,045,083,349)	17,700,000,000,000	17,700,000,000,000	
	8,699,590,490,328	8,699,590,490,328		50,733,209,981,916	(37,119,700,472,244)	22,313,100,000,000	22,313,100,000,000	
Long-term								
Loans from banks (i)	1,213,565,229,651	1,213,565,229,651		207,532,639,366	-	1,421,097,869,017	1,421,097,869,017	
In which: Current portion of long-term loans from banks	-	-		-	-	-	-	
Corporate bond (iv)	5,414,121,466,418	5,414,121,466,418		3,915,614,278,836	(3,900,000,000,000)	5,429,735,745,254	5,429,735,745,254	
	6,627,686,696,069	6,627,686,696,069		4,123,146,918,202	(3,900,000,000,000)	6,850,833,614,271	6,850,833,614,271	
TOTAL	15,327,277,186,397	15,327,277,186,397		54,856,356,900,118	(41,019,700,472,244)	29,163,933,614,271	29,163,933,614,271	

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

25. LOANS (continued)

(i) Details on long-term loans from bank is presented as below:

<i>Lender</i>	<i>Ending balance (VND)</i>	<i>Principal and interest repayment term</i>	<i>Interest rate</i>	<i>Collaterals</i>
Vietnam Technological and Commercial Joint Stock Bank	1,421,097,869,017	Principal amount is paid in full on 18 January 2021. Interest is paid in each three-month period and on 18th	Interest rate for the first period is 10% per annum. Interest rate for the following periods is calculated as the average of 12-month interest paid-in-arrears VND saving rate for individual from 4 state-owned banks: Vietcombank, Vietinbank, BIDV and Agribank, plus 3.33% per annum	Capital contribution amount of Ecology JSC in Gia Lam LLC, VRE shares held by an affiliate
TOTAL	<u>1,421,097,869,017</u>			

(ii) Details on loan from individual as at 30 June 2018:

<i>Lender</i>	<i>Ending balance VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collaterals</i>
Bui Hong Minh	13,100,000,000	5%	8 February 2019	None
	<u>13,100,000,000</u>			

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

25. LOANS (continued)

(iii) Details on loans from corporate counterparties as at 30 June 2018:

These are loans from three (03) counterparties with total value of VND4,600 billion, bearing the interest rate of 8% per annum with maturity date of May 2019. These loans are unsecured.

(iv) Corporate bond:

This is corporate bond issued by the Company with Techcom Securities as the underwriter. Its maturity date is 19 October 2020 and bearing the interest rate of 9.2% per annum for the first 2 interest-bearing periods. In subsequent periods, interest rate will be the total of 3.25% per annum and the reference interest rate which is the average of 12-month interest paid-in-arrears VND individual saving interest rates announced by Bank for Investment and Development of Vietnam, Joint Stock Commercial Bank for Foreign Trade of Vietnam, Vietnam Joint Stock Commercial Bank for Industry and Trade and Vietnam Bank for Agriculture and Rural Development in each interest-bearing period.

Collateral of this bond includes assets, rights and rewards of Vinpearl JSC related to Vinpearland Eco-tourism and Cultural Park project (except for the area of Vietnamese Temple).

26. LONG-TERM PROVISIONS

This represents provision for repairing costs for apartments and villas at Vinhomes Times City project, Vinhomes Royal City project, Vinhomes Golden River project, Vinhomes Central Park project and Vinhomes Green Bay project in accordance with warranties provision in sale and purchase agreements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

27. OWNERS' EQUITY

27.1 Increase and decrease in owners' equity

	Attributable to shareholders of the parent			Non-controlling interests	Total
	Issued share capital	Other funds belonging to owners' equity (iii)	Undistributed earnings		
For the six-month period ended 30 June 2017 (Unaudited)					
As at 1 January 2017	2,000,000,000,000	(2,768,622,679,306)	2,970,805,560,320	7,346,759,266,096	9,548,942,147,110
- Acquisition of new subsidiaries	-	(50,184,876,756)	-	107,699,880,268	57,515,003,512
- Net profit for the period (Unaudited)	-	-	1,007,224,975,015	61,191,379,661	1,068,416,354,676
- Step-up acquisition of equity interest in existing subsidiaries	-	-	603,537,326,742	(1,146,823,045,242)	(543,285,718,500)
- Other increase	-	-	48,389,570,267	-	48,389,570,267
As at 30 June 2017 (Unaudited)	2,000,000,000,000	(2,818,807,556,062)	4,629,957,432,344	6,368,827,480,783	10,179,977,357,065
For the six-month period ended 30 June 2018					
As at 1 January 2018	2,000,000,000,000	(99,117,851,011)	5,003,298,133,184	3,219,605,214,270	10,123,785,496,443
- Additional shares issued (i)	12,000,000,000,000	-	-	-	12,000,000,000,000
- Stock dividends (i)	4,000,000,000,000	-	(4,000,000,000,000)	-	-
- Shares issued to acquire subsidiaries (i)	10,365,000,000,000	2,116,151,438,143	-	174,867,536,302	12,656,018,974,445
- Acquisition of new subsidiaries	-	(204,447,040,920)	-	2,521,270,239,954	2,316,823,199,034
- Net profit for the period	-	-	8,038,523,026,040	118,264,885,207	8,156,787,911,247
- Step-up acquisition of equity interest in existing subsidiaries	-	-	1,000,931,010,583	(1,240,136,924,239)	(239,205,913,656)
- Disposal of subsidiaries	-	48,932,974,355	-	3,851,996,365	52,784,970,720
- Cash dividends (i)	-	-	(900,000,000,000)	(45,277,040,000)	(945,277,040,000)
- Demerger (ii)	(1,568,884,500,000)	-	-	-	(1,568,884,500,000)
As at 30 June 2018	26,796,115,500,000	1,861,519,520,567	9,142,752,169,807	4,752,445,907,859	42,552,833,098,233

Currency: VND

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

27. OWNERS' EQUITY (continued)

27.1 Increase and decrease in owners' equity (continued)

- (i) On 18 January 2018, the General Meeting of Shareholders of the Company approved the Resolution No. 01/2018/NQ/DHDCD-HANOI CITY JSC on increase of charter capital and dividends as follows:

- ▶ private share offering of 1,200,000,000 shares to several investors at par value of VND10,000 per share. As a result, share capital of the Company increased by VND12,000 billion;
- ▶ declaration of stock dividends to the existing shareholders at the ratio of 1,000:2,000 (accordingly, each shareholder who owns 1,000 shares is entitled to 2,000 additional shares). Thereby, on 31 January 2018, the Company issued additional 400,000,000 shares at par value of VND10,000 per share. As a result, share capital of the Company increased by VND4,000 billion.
- ▶ issuance of shares to merger with Tan Lien Phat JSC and Vinhomes Management JSC (Note 4), thereby, increased the Company's share capital by VND10,365 billion, and
- ▶ declaration of cash dividend to the existing shareholders with aggregated amount of VND900 billion with ratio of 45%, which is equivalent to VND4,500 per share.

On 27 January 2018, the General Meeting of Shareholders of the Company approved the Decision No. 03/2018/QD-DHDCD-HANOI CITY JSC on the increase in charter capital from VND2,000 billion to VND28,365 billion following the aforementioned private share offering, issuance of stock dividends and issuance of shares for exchange.

On 1 February 2018, the Company received the 18th Amended Enterprise Registration Certificate issued by the Hanoi Department of Planning and Investment which approved the increase in charter capital of the Company to VND28,365 billion.

- (ii) On 5 February 2018, the General Meeting of Shareholders of the Company approved the Resolution No. 02/2018/NQ/DHDCD-VINHOMES JSC on the demerger of Vinhomes JSC into two companies, which are: Vinhomes JSC ("the Demerged Company") and Hanoi Southern City Development and Trading LLC ("the New Company").

- ▶ The Demerged Company shall transfer a part of shares held by an existing shareholder, which is Vingroup JSC, the parent company, together with corresponding assets, rights and obligations to establish the New Company; and
- ▶ The New Company will be entitled to the investment in equity instruments of the Demerged Company which is 156,888,450 quoted shares of Vincom Retail JSC.

After the demerger procedures are completed, the Demerged Company continues to exist and charter capital of the Demerged Company decreased by VND1,568,884,500,000 which is equal to the charter capital of the New Company.

On 12 February 2018, the Company obtained the 20th Amended Enterprise Registration Certificate issued by the Hanoi Department of Planning and Investment which approved the decrease in charter capital of the Company to VND26,796,115,500,000.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended**27. OWNERS' EQUITY (continued)****27.1 Increase and decrease in owners' equity (continued)**

- (i) The difference between the value of considerations and net assets of acquirees arising from business combinations under common control. Movements of other funds belonging to owners' equity are presented below:

	Currency: VND
	Amount
Beginning balance	(99,117,851,011)
Arising from business combination with Millenium LLC (Note 4.2)	299,960,801,226
Arising from business combination with Royal City JSC (Note 4.2)	(504,407,842,146)
Arising from business combination with Tan Lien Phat JSC (Note 4.2)	2,116,151,438,143
Decrease from disposal of equity interest and loss of control in VinDS LLC	48,932,974,355
Ending balance	<u>1,861,519,520,567</u>

27.2 Capital transactions with owners' equity

	Currency: VND	
	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
Contributed share capital from owners		
Beginning balance	2,000,000,000,000	2,000,000,000,000
Additional shares issued	12,000,000,000,000	-
Stock dividends	4,000,000,000,000	-
Shares issued to acquire subsidiaries	10,365,000,000,000	-
Demerger	(1,568,884,500,000)	-
Ending balance	<u>26,796,115,500,000</u>	<u>2,000,000,000,000</u>

27.3 Shares

	Unit: Share	
	30 June 2018	31 December 2017
Authorised shares	2,679,611,550	200,000,000
Issued shares	2,679,611,550	200,000,000
<i>Ordinary shares</i>	2,679,611,550	200,000,000
<i>Preference shares</i>	-	-
Shares in circulation	2,679,611,550	200,000,000
<i>Ordinary shares</i>	2,679,611,550	200,000,000
<i>Preference shares</i>	-	-

The par value of outstanding shares: VND10,000 per share (as at 31 December 2017: VND10,000 per share).

Vinhomes Joint Stock Company B09a-DN/HN
[previously known as Hanoi Southern City Development Joint Stock Company]

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

28. REVENUES

28.1 Revenue from sale of goods and rendering of services

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Gross revenue	15,527,119,314,594	5,173,288,159,893
<i>In which:</i>		
Revenue from sales of inventory properties	14,794,796,430,395	3,823,350,142,680
Revenue from rendering real estate management and other service	404,213,508,020	-
Revenue from leasing investment properties and rendering related services	270,628,710,104	115,175,900,937
Revenue from retail outlets	8,155,016,467	411,084,734,007
Revenue from services related to amusement and entertainment	-	809,021,807,507
Others	49,325,649,608	14,655,574,762
Deductions	-	-
Net revenue	15,527,119,314,594	5,173,288,159,893
<i>In which:</i>		
Revenue from others	15,056,780,949,404	5,060,378,148,198
Revenue from related parties	470,338,365,190	112,910,011,695

28.2 Finance income

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Income from Business Co-operation Contracts (*)	5,711,531,544,942	-
Gains from investment activities	1,036,360,639,262	233,548,041,635
Interest income from deposits and loans	586,194,006,273	239,352,105,613
Other finance incomes	17,010,455,749	210,621,273
TOTAL	7,351,096,646,226	473,110,768,521

(*) Income from Business Co-operation Contract with Vingroup JSC and Vicentra JSC for the development purpose of Vinhomes Riverside The Harmony 2 project, Vinhomes Inperia Hai Phong project, Vinhomes Dragon Bay project and Vinhomes Golden River project. These income have been received in cash subsequent to 30 June 2018.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

28. REVENUES (continued)**28.3 Revenue and expenses relating to investment properties**

	Currency: VND	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Rental income from leasing investment properties	162,525,564,911	78,526,630,597
Direct operating expenses of investment properties that generated rental income during the period	(113,838,566,277)	(88,529,945,976)

29. COST OF GOODS SOLD AND SERVICES RENDERED

	Currency: VND	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Cost of inventory properties sold	10,514,308,774,349	2,319,061,978,834
Cost of rendering real estate management and other services	380,186,818,102	-
Cost of leasing activities and other related costs	240,939,456,859	126,561,926,526
Cost of goods sold at retail outlets	12,758,799,291	266,325,702,605
Cost of amusement and entertainment services	-	412,294,757,055
Others	44,002,120,399	13,586,540,733
TOTAL	<u>11,192,195,969,000</u>	<u>3,137,830,905,753</u>

Vinhomes Joint Stock Company B09a-DN/HN
[previously known as Hanoi Southern City Development Joint Stock Company]

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

30. FINANCE EXPENSES

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Loan interest and bond issuance cost	885,829,037,529	396,543,009,167
Loss from disposals of investments	29,831,827,643	-
Other finance expenses	9,219,381,980	43,721,903,637
TOTAL	924,880,247,152	440,264,912,804

31. SELLING EXPENSES AND GENERAL AND ADMINISTRATIVE EXPENSES

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Selling expenses		
Commission fees	434,777,951,674	113,572,707,527
Labour costs	34,651,830,101	65,969,706,321
Rental expenses of retail outlets	24,395,832,933	126,759,279,744
Advertising, marketing expenses	10,452,567,182	40,317,076,122
Consultant fees for apartments handed over	6,510,479,988	163,662,060,983
Vinhomes brand name royalty fee	-	37,985,162,690
Others	27,243,440,623	122,667,946,202
	538,032,102,501	670,933,939,589
General and administrative expenses		
Expenses for external services	175,316,846,967	165,671,957,182
Depreciation and amortisation	64,770,435,725	39,577,069,214
Labour costs	43,154,126,452	68,423,317,214
Provision expense	8,065,263,294	4,740,980,974
Others	29,214,374,855	7,692,446,778
	320,521,047,293	286,105,771,362
TOTAL	858,553,149,794	957,039,710,951

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

32. PRODUCTION AND OPERATING COSTS

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Cost of developing inventory properties	5,170,419,834,976	2,799,512,169,915
External service expenses	1,197,297,112,303	856,313,563,065
Labour costs	152,684,553,077	235,279,488,104
Depreciation and amortisation	135,821,989,595	225,115,727,786
Raw materials	-	422,250,661,501
Others	50,636,689,470	36,849,197,414
TOTAL	6,706,860,179,421	4,575,320,807,785

33. CORPORATE INCOME TAX

The current corporate income tax ("CIT") rate applicable to the Company and its subsidiaries is 20% of taxable profits. (In 2017: 20%, except for Vinpearl JSC – Nha Trang Branch which applied the incentive tax rate of 10% and Vinpearl JSC – Phu Quoc Branch which applied the incentive tax rate of 10% for the first 15 years commencing from the first year in which revenue is generated, and CIT exemption for 4 years commencing from the first year in which taxable profit is made, and 50% reduction of CIT for the subsequent 9 years).

The tax returns filed by the Company and its subsidiaries are subject to examination by the tax authorities. As the application of tax laws and regulations is susceptible to varying interpretations, the amounts reported in the interim consolidated financial statements could be changed at a later date upon final determination by the tax authorities.

33.1 CIT expenses

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Current tax expenses	2,041,130,232,627	206,724,796,873
Deferred tax income	(223,574,514,404)	(3,352,311,169)
TOTAL	1,817,555,718,223	203,372,485,704

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

33. CORPORATE INCOME TAX (continued)

33.1 CIT expenses (continued)

Reconciliation between CIT expenses and the accounting profit multiplied by applicable CIT rate is presented below:

	<i>Currency: VND</i>	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Accounting profit before tax	9,974,343,629,470	1,271,788,840,380
At CIT rate applied to the Company	1,994,868,725,894	254,357,768,076
Losses of subsidiaries	17,648,925,398	80,764,509,756
Losses ineligible for offsetting against taxable income	35,847,812,616	399,677,156
Adjustment for CIT incentives	-	(16,644,271,937)
Adjustment for overstatement of CIT in prior year	-	(21,964,379,758)
Impact from difference in CIT rate applicable for subsidiaries	-	(26,757,478,270)
Impacts from acquisition and disposal transactions in the interim consolidated financial statements	(214,170,613,848)	(46,709,608,327)
Deductible temporary differences arising from revaluation of net asset of subsidiaries under legal merge transaction	(208,838,241,273)	-
Differences of cost of goods sold between the separate financial statements and the consolidated financial statements	172,356,757,794	1,783,266,988
CIT adjustments of subsidiaries	12,951,426,234	-
Shared profit from associates	(38,247,615)	(29,911,873,624)
Goodwill amortisation in the interim consolidated financial statements	12,251,770,772	6,938,456,093
Tax losses carried forward	(19,903,583,316)	(2,789,918,822)
Others	14,580,985,567	3,906,338,373
Estimated CIT expenses	1,817,555,718,223	203,372,485,704

33.2 Current CIT

The current CIT payable is based on taxable profit for the current period. The taxable profit of the Company and its subsidiaries for the period differs from the profit as reported in the interim consolidated income statement because it excludes items of income or expense that are taxable or deductible in other periods and it further excludes items that are not taxable or deductible. The Company and its subsidiaries' liability for current tax is calculated using tax rates that have been enacted by the interim consolidated balance sheet date.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

33. CORPORATE INCOME TAX (continued)

33.3 Deferred tax

The following are the deferred tax assets and deferred tax liabilities recognised by the Company and its subsidiaries, and the movement thereon, during the current and previous period:

			Currency: VND	
	<i>Interim consolidated balance sheet</i>		<i>Interim consolidated income statement</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Deferred tax assets				
Provision for obsolete inventories	8,668,027,234	-	8,668,027,234	-
Accrual expense and deferred revenue	13,313,977,949	7,939,927,647	6,256,768,577	405,000,000
Non-deductible temporary difference selling expenses	7,975,934,688	7,763,011,588	212,923,100	2,947,311,169
Deductible temporary difference from recording outright sale transaction	23,639,595,821	24,041,041,601	(401,445,780)	-
Deductible temporary differences arising from revaluation of net asset of subsidiaries at acquisition date (Note 4)	42,858,004,819	-	-	-
Deductible temporary differences arising from revaluation of net asset of subsidiaries under legal merge transaction	208,838,241,273	-	208,838,241,273	-
Net deferred tax assets	305,293,781,784	39,743,980,836		
Net deferred tax credit to interim consolidated income statement			223,574,514,404	3,352,311,169

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

33. CORPORATE INCOME TAX (continued)

Tax losses carried forward

The Company and its subsidiaries are entitled to carry tax loss forward to offset against taxable profits arising within five years subsequent to the year in which the loss was incurred. At the interim balance sheet date, the Company and its subsidiaries has aggregated accumulated tax losses of VND1,965,953,169,977 (31 December 2017: VND1,602,149,409,988) available for offset against future taxable profits. Details are as follows:

<i>Originating year</i>	<i>Can be utilized up to</i>	<i>Tax loss amount</i>	<i>Utilized up to 30 June 2018</i>	<i>Forfeited</i>	<i>Unutilized at 30 June 2018</i>
2013	2018	5,902,209,404	(5,902,209,404)	-	-
2014	2019	111,808,271,822	(111,808,271,822)	-	-
2015	2020	119,299,957,217	(30,284,548,906)	(89,015,408,311)	-
2016	2021	1,229,536,437,830	(95,432,372,313)	(345,579,660,004)	788,524,405,513
2017	2022	700,673,569,040	(5,558,517,444)	(646,359,466,573)	48,755,585,023
For the six-month period ended 30 June 2018	2023				
		1,133,276,962,265	-	(4,603,782,824)	1,128,673,179,441
TOTAL		3,300,497,407,578	(248,985,919,889)	(1,085,558,317,712)	1,965,953,169,977

No deferred tax assets has been recognised in respect of these accumulated tax losses because future taxable profit cannot be ascertained at this stage.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH REPEATED PARTIES

34.1 Significant transactions with related parties

Significant transactions with related parties during this period and previous period were as follows:

Related parties	Relationship	Transactions	Currency: VND	
			For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
Vingroup JSC	Parent company	Receivable of shared revenue from Business Co-operation Contracts	2,825,248,594,942	-
		Collection of shared revenue from Business Co-operation Contracts	(496,902,838,349)	-
		Deposit for the purpose of investing and share transfer	15,297,628,717,638	4,033,661,008,000
		Payables for share transfer	(3,316,599,717,638)	(4,386,006,520,000)
		Receipt for the purpose of investing and share transfer	(5,767,222,428,000)	-
		Receipt from capital contribution	(9,500,000,000,000)	-
		Decrease of capital contribution due to demerger	1,568,884,500,000	-
		Borrowings	(3,223,534,593,021)	(3,521,050,550,000)
		Repayment of borrowings	4,723,534,593,021	2,093,000,000,000
		Dividend payables	(4,846,100,000,000)	-
		Dividend paid in cash	890,100,000,000	-
		Dividend paid in shares	3,956,000,000,000	-
		Receivables from cash centralised account	30,457,362,078,657	2,270,937,299,923
		Receipt from cash centralised account	(30,181,495,676,741)	(2,277,571,611,301)
		Lendings	1,238,891,070,118	679,000,000,000
		Collection of lendings	(1,238,891,070,118)	(2,454,000,000,000)
		Payables for collection on behalf related to sale of properties	(617,784,821,939)	-
Vinhcom Construction Management LLC ("Vinhcom Construction LLC")	Affiliate	Repayment for collection on behalf related to sale of properties	1,758,346,847,240	-
		Interest payables	(101,979,556,698)	(186,666,017,710)
		Interest paid	91,097,840,798	-
		Borrowings	(1,700,000,000,000)	-
		Repayment of borrowings	140,000,000,000	-
		Payables for construction service rendered	(199,182,574,096)	-
		Payment for construction service rendered	188,965,282,061	-

[previously known as Hanoi Southern City Development Joint Stock Company]

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.1 Significant transactions with related parties (continued)

Significant transactions with related parties during this period and previous period were as follows:

Related parties	Relationship	Transactions	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
Currency: VND				
Xavinco JSC	Affiliate	Borrowings	(759,500,000,000)	(970,000,000,000)
		Repayment of borrowings	45,500,000,000	20,000,000,000
Xalivico LLC	Affiliate	Borrowings	(254,000,000,000)	(255,000,000,000)
		Repayment of borrowings	4,000,000,000	-
Central Park Development LLC ("Central Park LLC")	Affiliate	Borrowings	(635,000,000,000)	(450,000,000,000)
		Repayment of borrowings	1,170,000,000,000	-
		Interest payable	(56,921,217,661)	(4,112,500,000)
Vicentra JSC (before merger date on 1 June 2018) (Note 18.2)	Affiliate	Lendings	2,000,000,000,000	-
		Collection of lendings	(2,000,000,000,000)	-
		Borrowings	(6,165,000,000,000)	-
		Repayment of borrowings	4,429,224,109,589	-
		Deposit for Business Co-operation Contract	1,300,000,000,000	-
		Receivables of shared revenue from Business Co-operation Contract	2,886,282,950,000	-
		Receipt of shared revenue from Business Co-operation Contract	(1,317,928,594,000)	-
		Interest paid	53,610,277,777	-
		Payables for collection on behalf	(277,009,389,260)	-
		Payment for collection on behalf	280,970,000,633	-
Times Trading LLC	Affiliate	Deposit for the purpose of investing and share transfer	200,000,000,000	-
		Collection of deposit for the purpose of investing	(200,000,000,000)	-
		Interest received	20,486,786,587	-
		Interest receivables	(83,076,944,444)	-
		Receivables from payment on behalf	97,792,952,333	-

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.1 Significant transactions with related parties (continued)

Significant transactions with related parties during this period and previous period were as follows:

Related parties	Relationship	Transactions	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
				Currency: VND
Vinschool One Member LLC ("Vinschool LLC")	Affiliate	Receipt from disposal of assets	(914,441,049,922)	-
		Receivable from disposal of assets	914,441,049,922	-
		Receipt of deposit for disposal of assets	(200,000,000,000)	-
Vinmec International General Hospital JSC ("Vinmec JSC")	Affiliate	Receipt of deposit for disposal of assets	(200,000,000,000)	-
		Collection of lendings	(170,000,000,000)	-
Vincommerce JSC	Affiliate	Borrowings	(3,280,000,000,000)	-
		Repayment of borrowings	3,280,000,000,000	-
		Collection of lendings	(510,000,000,000)	-
		Payables for share transfer	(2,000,000,000,000)	-
		Payment for share transfer	2,000,000,000,000	-
		Payable for goods provided	(1,458,573,773,475)	(620,758,232,306)
		Payment for goods provided	970,204,520,244	598,811,993,032
Vinfast Producing and Trading LLC ("Vinfast LLC")	Affiliate	Borrowings	(13,714,000,000,000)	-
		Repayment of borrowings	1,714,000,000,000	-
		Interest payables	(125,907,945,205)	-
Vinpearl JSC	Affiliate	Borrowings	(590,000,000,000)	(180,000,000,000)
		Repayment of borrowings	590,000,000,000	351,000,000,000
Vincom Retail JSC	Affiliate	Receipt of deposit for Business Co-operation Contract	(163,000,000,000)	-

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.1 Significant transactions with related parties (continued)

Significant transactions with related parties during this period and previous period were as follows:

Related parties	Relationship	Transactions	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (Unaudited)
				Currency: VND
Phu Quoc Tourism Development and Investment JSC ("Phu Quoc Tourism JSC")	Parent's associate	Repayment of borrowings	-	257,000,000,000
		Interest payables	-	(69,117,027,778)
		Interest paid	148,701,749,999	-
Sai Dong JSC	Affiliate	Deposit for the purpose of investing and share transfer	200,257,600,000	-
		Payable for water and electricity service	(186,880,810,558)	-
		Payment for water and electricity service	168,392,321,420	-
		Repayment of borrowings	-	855,844,385,803
Thang Long Real Estate Trading Investment JSC ("Thang Long Real Estate JSC")	Affiliate	Lendings	70,000,000,000	-
Southern Star JSC	Affiliate	Repayment of borrowings	510,000,000,000	5,000,000,000
		Interest paid	81,098,422,223	-
		Interest payable	(1,356,250,000)	(21,228,336,111)
		Payment for share transfer	81,743,910,000	-
Tan Lien Phat JSC (before merger date on 1 February 2018)	Affiliate	Repayment of borrowings	-	900,000,000,000
		Lendings	3,000,000,000,000	-
		Collection of lendings	(200,000,000,000)	-
Ms. Hoang Bach Duong	Chairman of member council of a subsidiary	Deposit for share transfer	1,104,000,000,000	-
		Collection of deposit for share transfer	(1,104,000,000,000)	-
Kind Heart Fund	Under common owner	Receipt of advance amount for charitable purpose	(91,382,084,246)	-
VinAcademy LLC	Affiliate	Receipt for share transfer	(83,464,147,000)	-
		Repayment of borrowings	121,500,000,000	-

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.1 Significant transactions with related parties (continued)

Terms and conditions of transactions with related parties during the periods are as follows

During the six-month periods ended 30 June 2018 and 30 June 2017, the Company also sold/purchased goods and rendering/purchased services to/from related parties based on negotiated market prices.

Related to the Business Co-operation Contract with Vingroup JSC and Vicentra JSC, an affiliate, for the purpose of developing real estate projects including Vinhomes Riverside The Harmony 2, Vinhomes Imperia Hai Phong, Vinhomes Dragon Bay and Vinhomes Golden River. Accordingly, the Company will receive a portion of profit before tax from these projects.

Payables and receivables (except for lendings and borrowings) as at 30 June 2018 are unsecured, free of interest and will be settled by cash. During the six-month period ended 30 June 2018, the Group has not made provision for doubtful debts relating to amounts due from related parties (31 December 2017: nil). This assessment is undertaken each financial period through the examination of the financial position of the related parties and the market in which the related parties operate.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.2 Amounts due to and due from related parties

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows:

			Currency: VND	
Related parties	Relationship	Transactions	30 June 2018	31 December 2017
Trade receivables (Note 7.1)				
Vingroup JSC	Parent company	Share transferring receivables	-	9,822,251,781,478
		Management fee receivables	15,543,897,237	-
		Receivables from leasing and related activities	33,439,558,534	-
Vincom Retail JSC	Affiliate	Receivables from leasing	119,554,798,154	1,587,730,744
		Other receivables	21,589,025,543	-
Vinpearl JSC	Affiliate	Services provided receivables	68,535,235,998	-
Southern Star JSC	Affiliate	Share transferring receivables	-	32,665,960,000
Vinschool LLC	Affiliate	Receivables from revenue sharing from education activity and related service	16,627,279,061	6,025,154,038
Other affiliates		Other receivables	56,425,148,005	8,540,717,820
			331,714,942,532	9,871,071,344,080
Advances to suppliers (Note 7.2)				
Vincommerce JSC	Affiliate	Advance for purchased goods	83,277,252,109	6,040,636,752
		Other advances	-	3,520,314,840
Kind Heart Fund	Under common owner	Advance for charitable purpose	1,066,579,317	92,448,663,563
Other affiliates		Other advances to suppliers	6,149,275,462	6,066,967,561
			90,493,106,888	108,076,582,716

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.2 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows: (continued)

			<i>Currency: VND</i>	
<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2018</i>	<i>31 December 2017</i>
Other short-term receivables (Note 9)				
Vingroup JSC	Parent Company	Deposit for Business Co-operation Contract	7,900,000,000,000	-
		Receivables from share profit of Business Co-operation Contract	2,328,345,756,593	-
		Receivables from centralised cash flow account	543,522,800,512	53,070,861,526
		Interest receivables	32,689,569,017	-
		Other receivables	123,142,542,143	-
Times Trading LLC	Affiliate	Receivables from payment on behalf	97,792,952,333	-
		Interest receivables	46,022,456,866	-
Other affiliates		Other receivables	22,696,182,366	92,304,882,303
			11,094,212,259,830	145,375,743,829
Other current assets (Note 13)				
Vingroup JSC	Parent company	Deposits for share transfer and investment purpose	3,315,029,000,000	-
Sai Dong JSC	Affiliate	Deposit for share transfer	200,257,600,000	-
			3,515,286,600,000	-
Other non-current assets (Note 13)				
Vingroup JSC	Parent company	Deposit for share transfer and investment purpose	766,000,000,000	-
			766,000,000,000	-

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.2 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows: (continued)

Currency: VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2018</i>	<i>31 December 2017</i>
Trade payables (Note 20.1)				
Vincommerce JSC	Affiliate	Payables for purchased goods	196,810,000,288	92,832,889,672
		Other trade payables	-	1,241,743,487
Vingroup JSC	Parent company	Management fee payables and other trade payables	234,239,031,737	47,008,017,582
Can Gio JSC	Affiliate (before becoming subsidiary)	Payables for share transfer	-	81,743,910,000
Other affiliates		Other trade payables	160,529,893,163	72,578,765,411
			591,578,925,188	295,405,326,152
Accrued expense (Note 22)				
Phu Quoc Tourism JSC	Parent's associate	Accrued interest	-	148,701,749,999
Xavinco JSC	Affiliate	Accrued interest	77,615,498,099	47,825,361,113
Southern Star JSC	Affiliate	Accrued interest	-	79,742,172,223
Vingroup JSC	Parent company	Accrued interest	219,996,575,343	64,190,805,600
Vicentra JSC	Affiliate (before merger date)	Accrued interest	-	50,854,999,999
Central Park LLC	Affiliate	Accrued interest	77,202,831,056	-
Vinfast LLC	Affiliate	Accrued interest	125,907,945,205	-
Other affiliates		Other accrued expenses	57,614,155,023	93,085,319,455
			558,337,004,726	484,400,408,389

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.2 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties as at interim consolidated balance sheet dates were as follows: (continued)

Currency: VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>30 June 2018</i>	<i>31 December 2017</i>
<i>Other short-term payables (Note 24)</i>				
Vinschool LLC	Affiliate	Deposit for project transfer	200,000,000,000	-
Vinmec JSC	Affiliate	Deposit for project transfer	200,000,000,000	-
Vincom Retail JSC	Affiliate	Deposit for Business Co-operation Contract	1,922,000,000,000	188,000,000,000
		Other payables	50,710,600,591	-
Vinpearl JSC	Affiliate	Payables for payment on behalf	171,117,951,582	-
Vingroup JSC	Parent Company	Other payables	23,531,457,935	-
Other affiliates		Other payables	48,946,944,030	51,877,529,077
			<u>2,616,306,954,138</u>	<u>239,877,529,077</u>
<i>Other long-term payables (Note 24)</i>				
Vingroup JSC	Parent Company	Deposit for Business Co-operation Contract	4,500,000,000,000	-
			<u>4,500,000,000,000</u>	<u>-</u>

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.3 Details of lendings to related parties (Note 8)

Details of lendings as at 30 June 2018:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collaterals</i>
Thang Long Real Estate JSC	Affiliate	70,000,000,000	8%	January 2019	None
		<u>70,000,000,000</u>			

Details of lendings as at 31 December 2017:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collaterals</i>
Times Trading LLC	Affiliate	840,000,000,000	7%	October 2018	None
		790,000,000,000	7%	May 2018	None
Tan Lien Phat JSC	Affiliate (until 31 January 2018)	555,000,000,000	7%	July 2018	None
		329,000,000,000	7%	December 2018	None
Vinmec JSC	Affiliate	170,000,000,000	7%	December 2018	None
		<u>2,684,000,000,000</u>			

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (continued)

34.4 Details of borrowings from related parties (Note 25)

Details of borrowings as at 30 June 2018:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collaterals</i>
Vinfast LLC	Affiliate	12,000,000,000,000	8%	May 2019	None
		2,081,000,000,000	8%	May 2019	None
Xavinco JSC	Affiliate	714,000,000,000	8%	July 2019	None
Central Park LLC	Affiliate	1,065,000,000,000	8%	April 2019	None
		30,000,000,000	8%	April 2019	None
Xalivico LLC	Affiliate	250,000,000,000	8%	August 2018	None
Vincom Construction LLC	Affiliate	1,560,000,000,000	8%	May 2019	None
		17,700,000,000,000			

Details of borrowings as at 31 December 2017:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity</i>	<i>Collaterals</i>
Vingroup JSC	Parent company	1,500,000,000,000	7%	December 2018	None
		660,000,000,000	7%	December 2018	None
Vicentra JSC	Affiliate	860,000,000,000	7%	July 2018	None
Xavinco JSC	Affiliate	767,000,000,000	7%	April 2018	None
Vinschool LLC	Affiliate	735,000,000,000	7%	August 2018	None
Metropolis Hanoi LLC	Affiliate	620,000,000,000	7%	April 2018	None
Southern Star JSC	Affiliate	510,000,000,000	7%	February 2018	None
Royal City JSC	Affiliate	420,000,000,000	7%	October 2018	None
Xalivico LLC	Affiliate	254,000,000,000	7%	April 2018	None
Central Park LLC	Affiliate	240,000,000,000	7%	May 2018	None
VinAcademy LLC	Affiliate	121,500,000,000	7%	January 2018	None
Tay Tang Long LLC	Affiliate (before becoming subsidiary)	12,090,490,328	7%	June 2018	None
		6,699,590,490,328			

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

34. TRANSACTIONS WITH RELATED PARTIES (CONTINUED)

34.5 Transactions with other related parties

Remuneration to members of management and Board of Directors:

	Currency: VND	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Salaries and bonus	7,298,601,654	-
TOTAL	7,298,601,654	-

For the six-month period ended 30 June 2017, members of management and Board of Directors did not receive remuneration at the Company.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended**35. EARNINGS PER SHARE**

The following reflects the income and share data used in the basic and diluted earnings per share computations:

	Currency: VND	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Net profit (loss) after tax attributable to ordinary shareholders	8,038,523,026,040	1,007,224,975,015
Adjust for the effect of dilution	-	-
Net profit attributable to ordinary shareholders adjusted for the effect of dilution	8,038,523,026,040	1,007,224,975,015
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Weighted average number of ordinary shares for basic earnings per share	1,921,480,077	200,000,000
Adjust for stock dividend issued in February 2018 (*)	400,000,000	400,000,000
Adjust for the effect of dilution	-	-
Weighted average number of ordinary shares (excluding treasury shares) for basic earnings per share	2,321,480,077	600,000,000
	Currency: VND	
	<i>For the six-month period ended 30 June 2018</i>	<i>For the six-month period ended 30 June 2017 (Unaudited)</i>
Basic earnings per share	3,463	1,679

(*) On 18 January 2018, the General Meeting of Shareholders of Hanoi Southern JSC approved the Resolution No. 01/2018/NQ/DHDCD-HANOI CITY JSC on the declaration of stock dividend to existing shareholders at the ratio of 1,000:2,000 (accordingly, each shareholder owning 1,000 shares will be entitled to 2,000 additional shares). Subsequently, on 1 February 2018, the Company received the 18th amended Enterprise Registration Certificate dated 1 February 2018 issued by the Hanoi Department of Planning and Investment which approved charter capital increase of the Company.

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these interim consolidated financial statements.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

36. SEGMENT INFORMATION

The Company and its subsidiaries do not present segmental information for the six-month period ended 30 June 2018 because the Company's management is of the view that there is only one segment for business. The Company and its subsidiaries' revenues are derived mainly from real estate business, which comprises the sale of inventory properties, while other revenues form a small proportion of total revenues.

Two other business segments in 2017: Entertainment and related services and Retail trading services have been disposed as the result of decreasing equity interest in Vinpearland JSC in 2017 and disposal of VinDS LLC in the period (Note 4.4).

37. COMMITMENTS AND CONTINGENCIES

Commitments under operating leases where the Company and its subsidiaries are lessees

The Company and its subsidiaries, as lessees, have signed land rental contract and operating lease arrangements for apartments, shophouses and villas and other operating lease arrangements. The minimum lease commitments as at the interim balance sheet dates under these operating lease agreements are as follows:

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Less than 1 year	348,630,994,054	48,063,593,847
From 1 to 5 years	279,944,345,558	225,526,669,666
More than 5 years	<u>1,753,111,157,650</u>	<u>1,816,537,846,789</u>
TOTAL	<u>2,381,686,497,262</u>	<u>2,090,128,110,302</u>

Commitments under operating leases where the Company and its subsidiaries are lessors

The Company and its subsidiaries, as lessors, lease office, apartments, shophouses and villas under operating lease agreements. The future minimum rental receivables as at the balance sheet dates under these operating lease agreements are as follows:

	<i>Currency: VND</i>	
	<i>30 June 2018</i>	<i>31 December 2017</i>
Less than 1 year	175,004,293,598	39,430,125,966
From 1 to 5 years	69,211,506,081	77,521,104,378
More than 5 years	<u>410,490,933,510</u>	<u>422,257,194,540</u>
TOTAL	<u>654,706,733,189</u>	<u>539,208,424,884</u>

Under the Business Co-operation Contract signed in February 2012 between Royal City JSC, a subsidiary, and Thien Huong Investment JSC ("Thien Huong JSC") regarding the school operations in Vinhomes Royal City project, Royal City JSC is entitled to the share of Thien Huong JSC's revenue, which is equal to 15% of revenue and can be adjusted according to the agreement. The duration of the Business Co-operation Contract is from February 2012 to the end of August 2043.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

37. COMMITMENTS AND CONTINGENCIES (continued)

Finance lease commitment

Ecology JSC, a subsidiary, entered into lease contracts with South Vincom Retail LLC for leasing retail areas at Vincom Quang Trung and Vincom Le Van Viet. In October 2017, both parties agreed on an amendment to the contracts. Accordingly, the management has assessed that the lease contracts qualify as finance leases. The present values of the minimum lease payment receivables at the reporting date under the these agreements are as follows:

Currency: VND

	30 June 2018			31 December 2017		
	<i>Total minimum lease payments</i>	<i>Finance income</i>	<i>Present value of payment</i>	<i>Total minimum lease payments</i>	<i>Finance income</i>	<i>Present value of payment</i>
Less than 1 year	19,451,635,857	2,387,447,095	17,064,188,762	19,451,635,857	1,422,474,881	18,029,160,976
From 1-5 years	84,614,615,981	38,760,622,132	45,853,993,849	83,155,743,291	35,894,216,874	47,261,526,417
More than 5 years	555,941,415,908	499,304,800,365	56,636,615,543	571,989,015,492	513,493,418,320	58,495,597,172
TOTAL	660,007,667,746	540,452,869,592	119,554,798,154	674,596,394,640	550,810,110,075	123,786,284,565

Commitments related to capital expenditure of on-going real estate projects and development of potential real estate projects

The Company and its subsidiaries have entered into a number of contracts relating to the development of certain real estate projects, including: Vinhomes Green Bay, Vinhomes Metropolis, Vinhomes Central Park, Vinhomes Golden River, VinCity Gia Lam, VinCity Park and Vinhomes Thang Long projects. The outstanding commitment on these contracts as at 30 June 2018 amounts to approximately VND7,358 billion (as at 31 December 2017: VND3,936 billion).

As disclosed in Note 13, on 22 February 2018, the Company entered into Project Development Agreement ("PDA") and Project Transfer Agreements ("PTAs") with Vingroup JSC, the parent company, to acquire several real estate projects. The maximum deposit commitment under PDA amounts to VND1,635 billion and total consideration payable under PTAs amounts to VND2,621 billion. As at 30 June 2018, the remaining commitments under PDA is VND817.5 billion and under PTAs is VND1,760 billion.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended

37. COMMITMENTS AND CONTINGENCIES (continued)

Commitments related to capital expenditure of on-going real estate projects and development of potential real estate projects (continued)

As disclosed in Note 9, on 10 December 2017, the Company has entered into a Business Cooperation Contract ("BCC") with a corporate counterparty in relation to VinCity New Saigon and VinOffice New Saigon Projects, in which the total capital contribution by the Company amounts to VND13,950 billion. As at 30 June 2018, the Company has contributed VND9,000 billion to this counterparty. Accordingly, the remaining commitment of this agreement as at 30 June 2018 is VND4,950 billion.

As disclosed in Note 13, on 20 March 2018, the Company has entered into Share Transfer Agreements ("STAs") with Vingroup JSC, the parent company, to acquire shares in two affiliates with total consideration of VND1,870 billion. As at 30 June 2018, the remaining consideration payable to Vingroup JSC is VND1,570 billion. The STAs will be exercised upon completion of the condition precedents as defined in the agreements.

Under a Business Cooperation Contract dated 23 November 2017 between Royal City JSC and a corporate counterparty, Royal City JSC commits to contribute 100% investment capital for a potential real estate project in Hanoi. The total estimated capital is VND790 billion, the remaining commitment of this agreement as at 30 June 2018 is VND782 billion. The project will be implemented within 2 years when Royal City JSC receives land parcel for construction. According to this contract, after the project is completed, Royal City JSC will be entitled to operate and manage a part of the project.

Commitment under interest support agreements to buyers of apartments, villas at real estate projects of the Company and its subsidiaries

According to three-party (3) interest support agreements among the Company and its subsidiaries as Investors, buyers of the inventory properties of the Company's projects (including Vinhomes Central Park, Vinhomes Times City, Vinhomes Green Bay, Vinhomes Thang Long, Vinhomes Riverside, Vinhomes Metropolis and Vinhomes Royal City projects) and certain banks, the Company and its subsidiaries commit to support the buyers in getting loans to finance for a part of the selling price and to settle the interest in committed period.

Guarantee for loan payment obligation of Vingroup JSC

The Company has guaranteed for payment obligations of Vingroup JSC under a syndicated loan from foreign financial institutions to Vingroup JSC with total credit limit of USD300 million and terms of 60 months. The ending balance of this syndicated loan as at 30 June 2018 is USD277.5 million.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended**38. NOTES TO CASH FLOW MOVEMENT**

	Currency: VND	
	For the six-month period ended 30 June 2018	For the six-month period ended 30 June 2017 (unaudited)
<i>Code 02 - Depreciation of fixed assets and investment properties and amortisation of intangible assets (including amortisation of goodwill)</i>		
Depreciation and amortisation	74,563,135,735	190,423,447,322
Goodwill amortisation (Note 19)	61,258,853,860	34,692,280,464
TOTAL	135,821,989,595	225,115,727,786
<i>Code 05 - Profits from investing activities</i>		
Shared profit under Business Cooperation Contract	5,711,531,544,942	-
Gain on disposal of investments in other entities (Note 28.2 and Note 30)	1,006,528,811,619	233,548,041,635
Interest income (Note 28.2)	586,194,006,273	239,352,105,613
Gain on disposal of fixed assets	52,895,982,201	-
Dividend income	14,011,848,183	-
Share of profit from associates (Note 18.1)	191,238,076	149,559,368,118
TOTAL	7,371,353,431,294	622,459,515,366
<i>Code 23 - Loans to other entities and payments for purchase of debt instruments of other entities</i>		
Disbursement of loans	(12,552,891,070,118)	(7,077,000,000,000)
Term deposits with maturity greater than three months	(278,124,469,422)	-
TOTAL	(12,831,015,539,540)	(7,077,000,000,000)
<i>Code 25 - Payments for investments in other entities</i>		
Payment for acquisition of new subsidiaries, additional shares in existing subsidiaries and investment in other entities	(18,707,379,448,344)	(3,469,299,732,640)
Advance for Business Co-operation Contracts	(13,200,000,000,000)	-
Deposit to acquire investment in other entities	(6,512,970,463,363)	-
Deposit to acquire projects	(1,555,000,000,000)	-
Payment of dividend declared to previous shareholders of Vinhomes Management JSC prior to merger date	(934,675,000,000)	-
Deposit under project development agreement	(817,500,000,000)	-
TOTAL	(41,727,524,911,707)	(3,469,299,732,640)
<i>Code 26 - Proceeds from sales of investments in other entities</i>		
Proceeds from disposal of investments, after deducting cash balance of these entities at the acquisition date	16,844,154,300,144	6,408,829,200
Deposit collected to acquire shares	4,980,000,000,000	-
Deposit received for purpose of transferring other long-term assets	400,000,000,000	-
TOTAL	22,224,154,300,144	6,408,829,200

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 30 June 2018 and for the six-month period then ended**39. EVENTS AFTER THE BALANCE SHEET DATE**

Except for the events after the interim consolidated balance sheet date as presented in other notes of the interim consolidated financial statements, the Company and its subsidiaries also have the following events after the interim consolidated balance sheet date:

On 2 July 2018, the Company and its subsidiaries have completed the acquisition of 100% shares in a company that is the developer of a golf course project from individuals with total consideration of VND1,205 billion. Thereby, this Company became a subsidiary of the Company.

In July 2018, the Company has completed the acquisition of Vinhomes New Centre Project (previously known as VinCity Ha Tinh Project) from Vingroup JSC with total consideration of VND105.3 billion.

On 30 July 2018, the Board of Directors of the Company has approved the stock dividend plan. Accordingly, the Company plans to issue approximately 670 million new shares to pay dividend through the exercise of rights. The exercise ratio is 1,000:250 for existing shareholders at the closing date (each existing shareholder owning 1,000 shares will be entitled to additional 250 shares).

On 9 August 2018, the Company has completed the acquisition of 100% equity interest in Vincom Construction LLC from Vingroup JSC with total consideration of VND250 billion. Thereby, Vincom Construction LLC became a subsidiary of the Company.

There is no other matter or circumstance that has arisen since the interim consolidated balance sheet date that requires adjustment or disclosure in the interim consolidated financial statements of the Company.



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Chief Financial Officer

Hanoi, Vietnam

28 August 2018